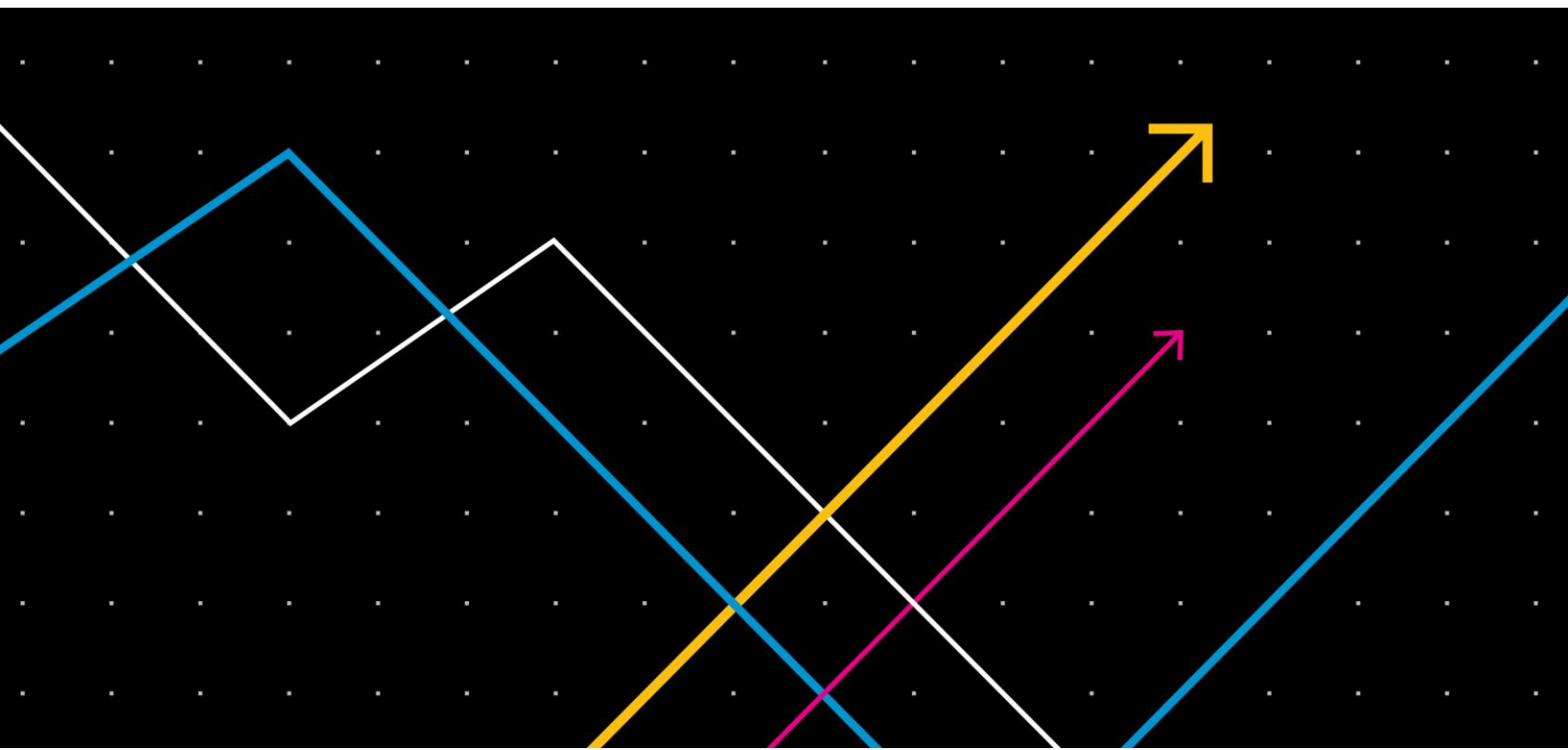




RESEARCH REPORT

The Great Inequality Transfer

Unpacking the Relationship between Homeownership and Intergenerational Wealth Transfers

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September 2024



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Executive Summary

Today, the baby boomer generation, once the largest in American history, accounts for one-third of all households. But these households hold more than half the nation's wealth. As the youngest boomers approach retirement and the oldest push further into end-of-life planning, our country is gearing up for what looks to be the greatest wealth transfer in American history. But in the context of the wide and persistent racial wealth gap, which was created by structural and institutionalized racism, this transfer is troubling. The "Great Wealth Transfer," as it has been termed, has massive potential to worsen the racial wealth gap. In this report, we investigate the relationship between homeownership and intergenerational wealth transfers across races and generations. The results of this analysis can serve as a guide for policymakers focused on equity and upward mobility who are considering whether increasing equity in access to homeownership can meaningfully reduce racial wealth inequality.

A significant body of work has investigated intergenerational wealth transfers and long-standing racial disparities in wealth and homeownership. We add to this work by investigating the relationships between homeownership, wealth, and intergenerational transfers, within and across racial and ethnic groups and generations. In this report, we present work that illuminates how homeownership and home equity relate to one's likelihood of transferring wealth and how receiving a wealth transfer relates to one's homeownership status. Our analysis is not causal; rather, we seek to understand how the many factors that are likely to make up one's expectations of inheritance and one's ability to achieve homeownership relate to one another. Our results are troubling: if the relationships that we find between homeownership and intergenerational wealth hold, then the racial disparities we see today, driven by outright discrimination and systemic racism, are likely to repeat and compound for generations to come. In other words, exclusionary practices and policies, such as redlining, restrictive covenants, and banking discrimination, have bolstered the racial wealth divide. As the generations that benefited from those policies and practices pass on, these disparities will not fade. Instead, the disparities created by these historical policies will be locked in for the next generation through inheritances.

We find that one's expectation to leave an inheritance is closely tied to whether one owns a home, particularly among Black and Hispanic households. But the relationship between homeownership and expectations to leave an inheritance has decreased across generations, which suggests that the ability to pass on wealth through homeownership has become more challenging. We find that increases in home equity explain some of the relationship between homeownership and expectations of leaving an inheritance. Especially for white homeowners and older generations, who tend to hold more home

equity and experience greater property value appreciation, increases in home equity have a significant positive effect on one's likelihood of expecting to leave an inheritance. Meanwhile, homeowners of color, who tend to buy homes later in life and whose assets appreciate less, have a weaker relationship between home equity and expectations of intergenerational transfers.

We find that having received an inheritance is one of the strongest contributors to a household's expectations of leaving wealth to the next generation, especially for households of color. Our results show that the relationship between the receipt of a sizable inheritance and homeownership status is strong, especially for Black and Hispanic households. But because Black and Hispanic households are less likely than white households to receive intergenerational transfers, they face additional barriers to achieving homeownership and building enough wealth to leave something behind for their children.

We also note that expectations are not reality for all households. Our previous work finds that Black and white households are similarly as likely to expect to leave an inheritance, but Black households are much less likely than white households to actually receive an inheritance, indicating a mismatch between expectations and an end result (Neal et al. 2023). Individuals' ability to leave an inheritance can be disrupted by life cycle circumstances. Unforeseen health expenses, longevity, or economic shocks may reduce the wealth available for bequests, even when there was an intention to transfer assets. This gap between expectations and outcomes highlights the precariousness of wealth building for marginalized groups, particularly in the context of systemic inequalities that disproportionately affect Black and Hispanic households.

Overall, our findings suggest that households with access to wealth-building activities such as homebuying continue to benefit—as will their children, through intergenerational transfers—while those without such access are increasingly marginalized over time and across generations. This is particularly true for households of color, who have faced significant systemic barriers to accessing homeownership and building wealth.

When it comes to guiding public policy, our results show that homeownership does play a big role in intergenerational transfers but that increasing access to homeownership alone is insufficient to address long-standing racial inequities in wealth that compound across generations. If policymakers wish to reduce existing inequities, they will have to pursue a wide slate of policy actions that increase access to homeownership and address broader systemic inequities in wealth, financial security, and opportunity.

The Great Inequality Transfer

The United States is approaching a demographic milestone. The population is aging. The US Census Bureau projects that within 10 years, the number of older adults will outnumber children for the first time in US history (Vespa, Armstrong, and Medina 2018). At the same time, the population is diversifying in terms of race and ethnicity (Frey 2021). Urban Institute projections predict that through 2040, all net household growth will be from households of color, and net growth in the number of homeowners gained from 2020 to 2040 will come entirely from people of color (Goodman and Zhu 2021). Combined, this means the racial and ethnic makeup of households and homeowners in the coming decades will not look like it has in prior generations.

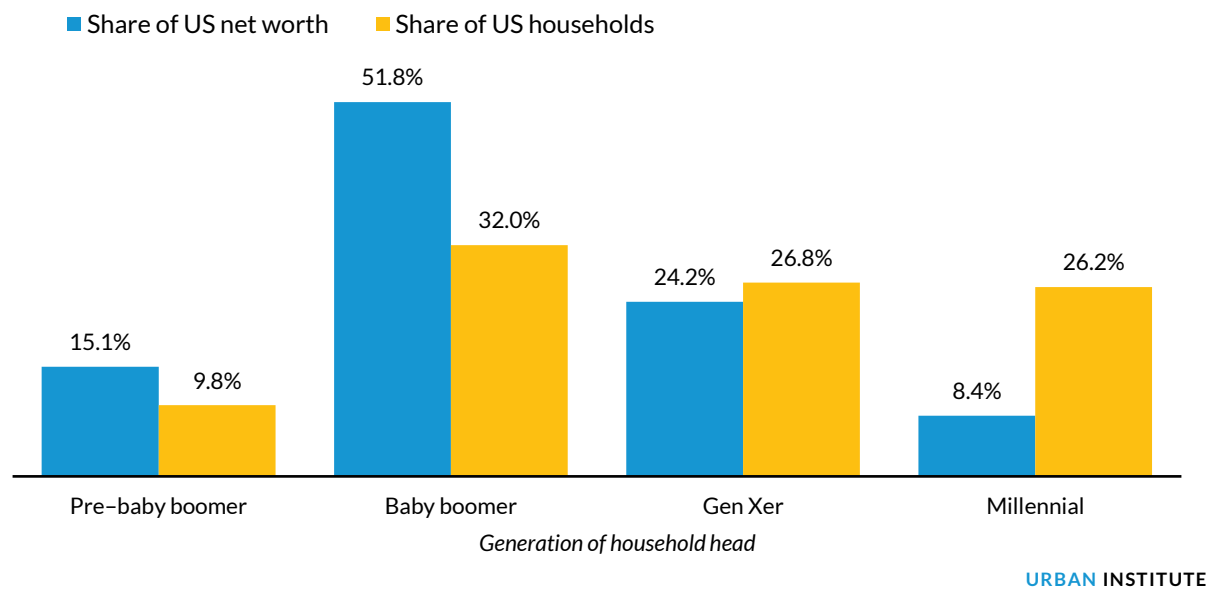
As the population ages, 73 million baby boomers, once the largest generation in American history, are edging into and toward retirement and end-of-life planning. This is nontrivial for many reasons, but for the purposes of this work, it means we are in the middle of potentially the greatest wealth transfer in US history—one that could worsen massive inequities in wealth, opportunity, and upward mobility for generations to come.

Baby boomers make up one-third of total households in the country, but they hold more than half of total wealth (figure 1). We generally follow the Pew Charitable Trusts' widely accepted definition of generations in our analysis.¹ We combine all generations older than baby boomers into a pre-baby boomer group, because even combined, this group makes up a relatively small share of the total households and wealth.

Amid the greatest wealth transfer in the country's history, we must confront who has wealth to transfer to their children and grandchildren. White baby boomers hold more than 90 percent of all net worth that baby boomers hold, a disproportionately high share. Meanwhile, Black and Hispanic baby boomers own less than 2 percent of the boomer generation's net worth. This is a direct reflection of structural racism. For most of the country's history, people of color have been excluded from opportunity and wealth building. Practices such as redlining, blockbusting, and banking discrimination prevented people of color from accessing wealth-building opportunities. The practices also undervalued or stripped people of color of their assets when they were able to overcome barriers. As trillions of dollars of wealth are transferred from one generation to the next, the outright racism and discrimination that underlie housing and wealth structures in one generation are likely to transfer, too. This is not just a transfer of wealth—it will be a transfer of inequality.

FIGURE 1

US Households and Net Worth, by Generation



Source: Urban Institute analysis of the 2022 Survey of Consumer Finances.

Notes: We define all generations by birth year of the household head. Pre-baby boomers were born before 1946, baby boomers were born from 1946 to 1964, Gen Xers were born from 1965 to 1980, and millennials were born from 1981 to 1996. We excluded those born after 1996 because of limited data.

Background

A significant body of literature has already uncovered a great deal about inheritances and the impending Great Wealth Transfer. Intergenerational transfers of assets have been found to account for 12 to 20 percent of the Black-white wealth gap (Hamilton and Darity 2010; McKernan et al. 2012; Menchik and Jianakoplos 1997; Sabelhaus and Thompson 2023; Strand 2010).² Generally, Black and Hispanic families are less likely than white families to receive an inheritance, and when they do receive inheritances, the amounts are lower, on average.³

Our own prior work has focused on how expectations of leaving an inheritance differ between Black and white households. One's expectations can often be an accurate predictor of their future behavior (Roth and Wohlfart 2020; Warshaw and Davis 1985), but we found that Black and white families are similarly as likely to report that they expect to leave an inheritance, even though for decades, Black families have been significantly less likely than white ones to receive inheritances (Neal et al. 2023). This is in part because of differences in the age distribution of Black and white households, as opposed to a racial difference in one's ability to predict one's future wealth and ability to transfer it.

Put simply, older households appear to have a better sense of their true ability to leave an inheritance, likely because they are closer to doing so. We found that as households age, particularly Black households, the share that expects to leave a significant estate declines. We also found that expectations of leaving an inheritance differ by tenure status, with homeowners being more likely than renters to expect to leave an inheritance, reflecting the importance of homeownership in building and sustaining wealth for many households.⁴

In previous work, we also began an investigation of the potential implications of the ongoing Great Wealth Transfer on the Black-white wealth and homeownership rate gaps.⁵ We found that generally, a small share of younger households expects to receive an inheritance, but Black households and renters of any race or ethnicity are less likely than white households and homeowners of any race or ethnicity to expect to receive an inheritance (Neal, Zhu, and Zinn 2024). Our analysis showed that the Great Wealth Transfer is unlikely to close the Black-white homeownership and wealth gaps and is in fact poised to widen them. Even further, our work suggests that among Black households, the Great Wealth Transfer will widen the wealth gap between renters and homeowners. This work aligns with a literature that finds that the typical millennial is worse off than their baby boomer parents, but the top 20 percent of millennials, in terms of wealth, are better off than their parents, indicating a widening wealth gap among millennials (Gruijters, Van Winkle, and Fasang 2023).

Despite the common expectation of leaving an inheritance, particularly among homeowners, the reality often diverges sharply from these aspirations. The life cycle hypothesis (Modigliani and Brumberg 1954; Modigliani 1988) suggests that individuals plan their consumption and savings to maintain stability throughout their lives, often depleting their wealth by the time of death. But for many, the ability to leave an inheritance is hindered by unforeseen life events, such as health crises, economic shocks, or extended longevity (Hurd and Smith 2002; Poterba, Venti, and Wise 2011). These factors disproportionately affect households of color, particularly Black and Hispanic families, who experience higher rates of wealth shocks and economic precarity (Shapiro, Meschede, and Osoro 2013).⁶

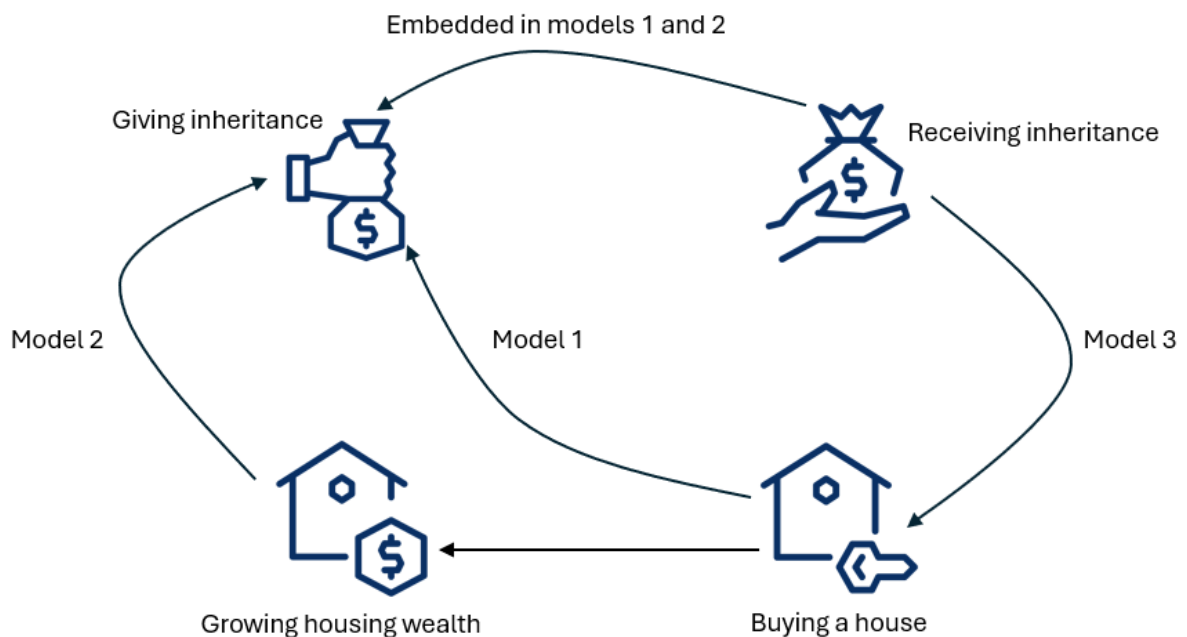
More importantly, this mismatch between expectation and reality, particularly among Black households, must be understood within a broader framework of systemic and structural racism. Structural barriers, such as discriminatory housing policies, limited access to credit, and predatory lending practices, have historically restricted Black families' ability to accumulate wealth, especially through homeownership (Baradaran 2017).⁷ Even when homeownership is achieved, housing wealth for households of color tends to be less stable and subject to greater depreciation compared with white households, reflecting racial disparities in neighborhood conditions and home value appreciation (Derenoncourt et al. 2024). These structural inequalities suppress wealth accumulation and amplify the

cyclical disparities in intergenerational wealth transfer. The expectation to leave an inheritance is often undermined by broader economic forces that disproportionately affect households of color. This creates a cycle where marginalized groups are systematically disadvantaged in their ability to accumulate and transfer wealth, widening racial wealth gaps across generations.

A significant body of work has documented and studied the wide and persistent racial wealth gap. According to the latest data, the average wealth of white households is six times that of Black and Hispanic households, a gap that has widened in the past four decades, even as average wealth has increased across race.⁸ But this racial wealth gap is not a market outcome, nor is it driven by racial differences in personal attributes or behavior. A wide literature has confirmed that the racial wealth gap was created and has been bolstered by structural racism (Derenoncourt et al. 2024; Lui et al. 2006; Shapiro, Meschede, and Osoro 2013).⁹ Specifically, the Black-white wealth gap was created by chattel slavery, the practice of enslaving Black people and allowing them to be bought, sold, and owned forever, which was legal in the United States until 1865. Under chattel slavery, Black Americans contributed to the country's wealth—and to the wealth of white Americans, as they were considered part of slaveholders' property—but were unable to build any wealth themselves. Following the Civil War and the abolition of slavery, the country made rapid progress in reducing the Black-white wealth gap, in part because white slaveholders were stripped of the wealth they had previously owned in Black bodies. But since the 1900s, the convergence of the Black-white wealth gap has slowed and then stagnated. In more recent years, the gap has widened. The slowing and stagnation reflects several factors, including violent land loss and property destruction, such as the Tulsa Massacre of 1921 (Albright et al. 2021), the predatory practice of sharecropping and other forms of forced labor (Miller 2020), limited access to the formal financial system (Baradaran 2017), and racial exclusion in some of the biggest New Deal public policies that uplifted the middle class.¹⁰ The widening of the gap reflects capital gains, which has particularly benefited the richest households, who are disproportionately likely to be white. Racial disparities in portfolio composition play a role—housing wealth makes up a disproportionately high share of total wealth held by Black households compared with white households, who are more diversified and have benefited more from significant stock market appreciation (Derenoncourt et al. 2024). The widening gap also reflects wealth loss and predation. For example, Black and Hispanic borrowers were issued a disproportionately large number of predatory and subprime loans before the Great Recession, which led to about 30 percent of homes owned by Black and Hispanic people being foreclosed on, compared with 11 percent of homes white people owned (Garriga, Ricketts, and Schlagenhauf 2017).

But despite significant scholarship on inheritance, racial wealth disparities, racial homeownership gaps, and racial gaps in the benefits of homeownership (Neal, Choi, and Walsh 2020), little work has rigorously investigated the relationship between homeownership and one's expectation and ability to transfer wealth across generations. A better understanding of this relationship is critical to conceptualizing and designing public policies that improve equity, as opposed to worsening it. Our work builds upon previous scholarship by quantifying the relationships between homeownership, home values, and receipt of inheritance on intergenerational wealth transfers in a cyclical manner (figure 2). We also recognize that wealth, propensity to leave an inheritance, homeownership, home values, and receipt of inheritance differ widely across race and generation, so we differentiate effects across these groups in our analyses.

FIGURE 2
Housing, Wealth, and Inheritance Cycle



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To reach this understanding, we quantitatively answer three main questions:

1. What is the relationship between homeownership status and one's expectation of leaving an inheritance, by race and generation, and controlling for other factors?
2. How does the relationship between homeownership status and expectation to leave an inheritance change with home equity, by race and generation, and controlling for other factors?
3. What is the relationship between receipt of an inheritance and one's homeownership status, by race and generation, and controlling for other factors?

The remainder of this report proceeds as follows: first, we outline the data sources we used in our analysis and why we chose them. Second, we detail our methodology for investigating our three questions. Third, we present the results of our analysis in a readable format focused on outcomes. Finally, we dive into the implications of our results in terms of what this means for upward mobility moving forward, for housing policy, and for broader public policy seeking to advance equity and economic growth. We also discuss limitations and key areas for future research and analysis.

Data

We used Survey of Consumer Finances (SCF) data from 2013 to 2022 for our analysis. Although the sampling of nonwhite racial and ethnic groups has improved since 2010, we chose 2013 as a starting year to avoid conflating the Great Recession's impact on wealth with our results. The SCF is a cross-sectional survey of US families that is conducted triennially and includes a robust series of questions on families' balance sheets, pensions, income, and demographic characteristics.¹¹

The SCF is widely considered the gold standard for capturing wealth in the United States (Pfeffer et al. 2016).¹² This is in part because of the SCF's dual-sample survey design, in which one sample disproportionately includes wealthy families, and the second is representative of the entire country (Kennickell 2008).¹³ Notably, in 2022, the SCF adjusted the second sample to oversample people of color, as the wealth distribution is skewed markedly toward white people.¹⁴ This makes the most up-to-date SCF data ripe for analyses cut by race and ethnicity. The 2022 SCF breaks out Asian households from "other" households for the first time, but because we used data from 2013 to 2022, we do not break out Asian households in our analyses and instead use the most disaggregated racial and ethnic classification available before 2022: Black, Hispanic, white, and other. We omit "other" racial and ethnic groups from our analyses because there are many racial and ethnic groups combined under the title, making results and implications nearly impossible to be useful.

Important for our analysis, the SCF includes questions on both the receipt of inheritances and, if received, the values. The survey also includes questions on the respondent's expectation of leaving wealth for their heirs.¹⁵ But because the SCF is not a panel survey, there are no data to determine whether one's expectations are realized. Given the racial gap in inheritances, our previous work suggests that older households' expectations of their ability to leave an inheritance are more in line with their outcomes, compared with younger households (Neal et al. 2023).

Methodology

Descriptive Statistics

In addition to a significant literature on racial disparities in homeownership, wealth, and intergenerational transfers, an initial scan of key variables in the SCF motivated our analysis. Averages across racial and ethnic groups for the key variables that motivated our analyses are shown in table 1.

INHERITANCE

Between 2013 and 2022, a similar share of households across race and ethnicity (33 to 36 percent) reported that they expect to leave an inheritance. But Black and Hispanic households in this period were significantly less likely than white households to have received an inheritance, with 9 percent and 6 percent of Black and Hispanic households receiving an inheritance, respectively, compared with nearly 28 percent of white households. Some of this difference could reflect the fact that Black and Hispanic households tend to be younger than white households, but this disparity holds across the age distribution. For example, nearly 17 percent of white households headed by someone younger than 45 reported having received an inheritance, compared with 6 percent and 4 percent of Black and Hispanic households headed by someone younger than 45. And among older households, white households remain more likely to have received an inheritance. More than 38 percent of white households headed by someone 65 or older reported having received an inheritance, compared with 14 percent of older Black households and 11 percent of older Hispanic households. We also find, in line with other work, that among those who do receive an inheritance, Black and Hispanic households receive less, on average, than white households, a disparity that also held across the age distribution.¹⁶ A greater share of Black and Hispanic households are millennials than white households, and over time, we found that millennial households have been more likely than older generations to expect to leave an inheritance but have been the least likely to report having received an inheritance. But again, this does not reflect

only age. Even among millennials, more than 45 percent of Hispanic and Black households said in 2022 that they expected to leave an inheritance, compared with about 40 percent of white millennial households in the same year, which could reflect cultural or values differences, family size or presence of heirs, or other factors.

FINANCIAL AND NONFINANCIAL ASSETS

We also find large racial disparities in household income, financial assets, home values, housing wealth, and total net worth. Notably, although white households have, on average, more debt than Black and Hispanic households, this debt represents a smaller share of their net worth than it does for households of color. This greater debt may also reflect significantly higher homeownership rates—which, for a period, is likely to contribute to total debt through outstanding mortgage balances—among white households compared with Black and Hispanic households. Previous research finds that Black and Hispanic homeowners tend to have higher mortgage debt than white homeowners later in life, which could reflect racial disparities in access to the formal financial system more broadly (Neal, Choi, and Walsh 2020; Garon et al. 2024). Not unexpectedly, across race and ethnicity, total net worth was lowest for millennial households compared with other generations. But we found that between 2013 and 2022, the total net worth of white millennials increased by about \$10,000, while Black and Hispanic millennials saw barely any increase in net worth. This could reflect some intergenerational transfers that have already occurred, increased educational attainment, and earlier access to home equity, especially among households without student debt, who are disproportionately likely to be white (Blagg et al. 2022), or other factors.

DEMOGRAPHICS

We found that a smaller share of white households (36 percent) has heirs compared with Black households (45 percent) and Hispanic households (46 percent). We also found that Black households are least likely to be married, while Hispanic households are least likely to be retired, though this could reflect differences in age across race and ethnicity. A similar share of households across race and ethnicity reported having major foreseeable expenses, which we believe could contribute to an inability to leave an inheritance, depending on total assets available.

AMONG HOMEOWNERS

From 2013 to 2022, 74 percent of white households were homeowners, compared with 46 percent of Black households and 48 percent of Hispanic households. This reflects decades of outright discrimination in the housing market that prevented people of color from homebuying, as well as the

structural racism embedded in the way lenders assess creditworthiness.¹⁷ In other words, the racial homeownership gap is not an outcome driven by the free market, because the housing market has never been a free one. These estimates also differ slightly from estimates using the Census Bureau's Decennial Census, American Community Survey, and Current Population Survey/Housing Vacancies and Homeownership Survey, each of which has slightly different sampling structures, definitions, and weighting schemes.¹⁸ We stuck with the SCF data on homeownership because we wanted to match them directly with data on wealth and inheritance, and the homeownership rates are comparable with those in the American Community Survey, which is widely considered to be accurate and timely, even across racial groups.

But homeownership disparities go beyond the homeownership rate itself. This homeownership rate disparity means that most white households have benefited from the massive home price increases that we have seen over this period, while fewer than half of households of color have seen this financial benefit. This aligns with previous literature, which finds that housing market appreciation has driven the Black-white wealth gap, primarily because of racial homeownership gaps (LaBriola 2024).

And even among homeowners, we see significant differences in home values, housing wealth, and debt. White homeowners had an average home value of more than \$413,000, compared with about \$233,000 for Black homeowners and \$289,000 for Hispanic homeowners. Similarly, we found that the average white homeowner had more housing wealth than Black and Hispanic homeowners, reflecting lower home values and higher rates of mortgage debt among Black and Hispanic homeowners. This is particularly stark for Black homeowners 62 and older; more than half have outstanding mortgage debt compared with 38 percent of older white homeowners.

TABLE 1

Key Survey of Consumer Finances Variables, by Race and Ethnicity

Variable	All Mean	White Mean	Black Mean	Hispanic Mean
Inheritance variables				
Expect to leave inheritance	34%	33%	36%	33%
Received inheritance	22%	28%	9%	6%
Total inheritance amount	\$151,938	\$161,885	\$102,631	\$75,560
Financial and nonfinancial assets				
Household income	\$126,973	\$149,283	\$66,103	\$67,337
Financial assets	\$422,241	\$564,478	\$68,415	\$62,895
Total debt	\$123,152	\$136,263	\$73,123	\$81,388
Net worth	\$880,583	\$1,154,884	\$169,991	\$202,849
Demographics				
Age	52	55	50	46
Pre-baby boomers	15%	18%	11%	7%
Baby boomers	35%	38%	34%	25%
Gen Xers	28%	25%	31%	37%
Millennials	23%	20%	24%	31%
Homeowners	66%	74%	46%	48%
Married	57%	61%	36%	63%
Retired	33%	34%	35%	23%
With heirs	41%	36%	45%	46%
With major foreseeable expenses	54%	54%	52%	51%
Among homeowners only				
Home values	\$261,238	\$413,356	\$233,375	\$289,184
Housing wealth	\$263,390	\$282,416	\$134,008	\$163,903
Homeowners with mortgage debt	63%	61%	68%	66%
Homeowners ages 62 and older with mortgage debt	39%	38%	51%	37%
Ratio of housing wealth to net worth	55%	51%	59%	74%

Source: Urban Institute analysis of 2013–22 Surveys of Consumer Finances.

Notes: We adjusted all dollar amounts to 2022 dollars using the Consumer Price Index. We weighted the means and standard deviations per the Survey of Consumer Finances weighting scheme.

Regression Models

We ran three distinct regression analyses to quantitatively investigate the cyclical impact of intergenerational transfers and homeownership across race, ethnicity, and generation. Box 1 details our three models. All our regressions are logit models, a type of regression that is best for binary dependent variables, such as those in our analyses: expectation of leaving an inheritance (yes or no) for the first two models and homeownership status (homeowner or renter) for the third model. Running a regression allows us to control for the other factors we know affect inheritance, such as financial

wealth, mortgage status, household income, and foreseeable major expenses, and isolate key variables such as homeownership, housing wealth, and receipt of inheritance in our analyses. Regressions are commonly used to estimate future trends and values and determine the strengths of different predictors on a given outcome. The output from our models can help guide public policy because we can estimate potential inheritances across groups and quantify the relative importance of different household factors to various outcomes.

BOX 1

Our Three Regression Models

We run—and detail the results of—three regression models to understand the relationships between housing, wealth, and inheritance in different directions. We ran each model eight times: once for every household in the SCF, three times for each of three racial and ethnic groups (Black, Hispanic, and white), and four times for each generation (pre-boomers, boomers, Gen Xers, and millennials). The models are named and described below.

- Relationship between Homeownership and Giving Inheritance Model (model 1 in figure 2)
 - » This model disaggregates the effects of homeownership status on one's expectation to leave an inheritance, controlling for other key variables. Our controls include the log of financial wealth,^a whether one has educational debt,^b the log of income, whether one has major foreseeable expenses, whether one has received an inheritance, age, age-squared, whether one has heirs, marital status, retirement status, and the survey year.
- Relationship between Home Equity and Giving Inheritance Model (model 2 in figure 2)
 - » This model disaggregates the effects of the amount of one's home equity from simple homeownership status on one's expectation to leave an inheritance. We controlled for the log of financial wealth, mortgage status, the ratio of home equity to net worth, whether one has educational debt, whether one has received an inheritance, the log of income, age, age-squared, whether one has major foreseeable expenses, and survey year. Restricted to homeowners and only those who are not underwater (about 2 percent of our sample).
- Relationship between Receipt of Inheritance and Homeownership Model (model 3 in figure 2)
 - » This model considers the cyclical nature of wealth transfers and homeownership (figure 2). It measures the relationship between receiving an inheritance and one's homeownership status. We control for the log of financial wealth, whether one has educational debt, the log of income, whether one has major foreseeable expenses, retirement status, marital status, whether one has heirs, age, age-squared, and survey year.

^a We define financial wealth as total financial assets minus credit card debt and other debt.

^b We control for educational debt using an indicator variable because we know that the amount of educational debt one has is highly correlated with age and, even for the same household, could change a lot year to year. Because we do not have a panel dataset, we just controlled for educational debt as a dummy variable.

In a logistic regression model, the outcome, or the dependent variable, is a probability (e.g., the likelihood that one expects to leave an inheritance). When one runs a logistic regression, the probabilities are expressed in log odds but can then be converted to odds ratios, which we do in our analyses. Odds ratios are easier than log odds to interpret and essentially give the ratio of success to the ratio of failure. A simple primer on the directions of odds ratios and their meanings is in box 2. In the following section, we visualize and discuss the odds ratios for key independent variables across the three modules.

BOX 2

Explainer on Odds Ratios in Logistic Regressions

Let us use our first model, Relationship between Homeownership and Giving Inheritance Model, as an example. How would we interpret different odds ratio coefficients?

- If the odds ratio on a dependent variable is **less than 1**, a one-unit change in that variable leads to the given outcome being **less likely** to occur.
 - » Say the odds ratio on being a homeowner is 0.5. In this scenario, a homeownership household would have half the odds of expecting to leave an inheritance than a renting household.
- If the odds ratio on a dependent variable is **greater than 1**, a one-unit change in that variable leads to the given outcome being **more likely** to occur.
 - » Say the odds ratio on homeownership is 2. In this scenario, a homeownership household would have double the odds of a renting household of expecting to leave an inheritance.
- If the odds ratio of a dependent variable is **exactly 1**, a one-unit change in the variable **does not change the odds** of a given outcome.
 - » Say the odds ratio on homeownership is 1. In this scenario, a homeownership household is no more likely than a renting household to expect to leave an inheritance.

Results

Relationship between Homeownership and One's Expectation to Leave an Inheritance

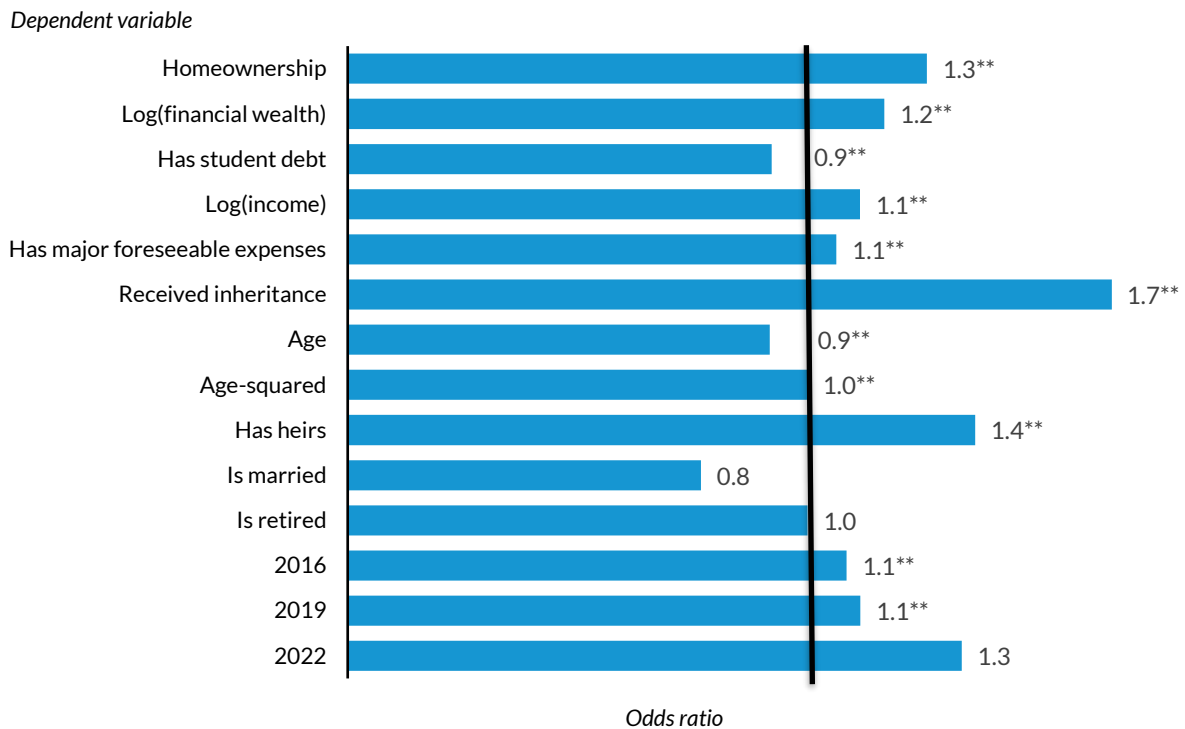
We start with the **Relationship between Homeownership and Giving Inheritance Model**, which we ran separately for each race and generation group. Figure 3 shows the odds ratios for all the variables and controls in the model.

Homeownership has a strong positive relationship with expectation to leave an inheritance, with homeowners being 1.3 times as likely as renters to expect to leave an inheritance. Financial wealth is also positively associated with expectation to leave an inheritance, while having student debt is negatively associated with the expectation. The cyclical nature of inheritances also comes to light in this model output, with people who received an inheritance being 1.7 times as likely as others to say they expect to leave an inheritance, a greater impact than homeownership status. Age had a slightly negative and significant impact on expectation to leave an inheritance, which aligns with our previous work that older households' expectations seem to be more aligned with their reality (Neal et al. 2023). Running this model by race and by generation helps us key in on disparities in the relationship between homeownership and inheritance across demographic groups and the implications of these results.

FIGURE 3

Relationship between Homeownership and Giving Inheritance Model Output, Overall

Odds ratios of coefficients



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Source: Urban Institute analysis of the 2013–22 Surveys of Consumer Finances.

Notes: The line indicates odds ratio = 1. Values to the right of that line indicate odds ratios that increase the likelihood of giving an inheritance, and values to the left indicate odds ratios that decrease the likelihood.

** $p < 0.01$; * $p < 0.05$.

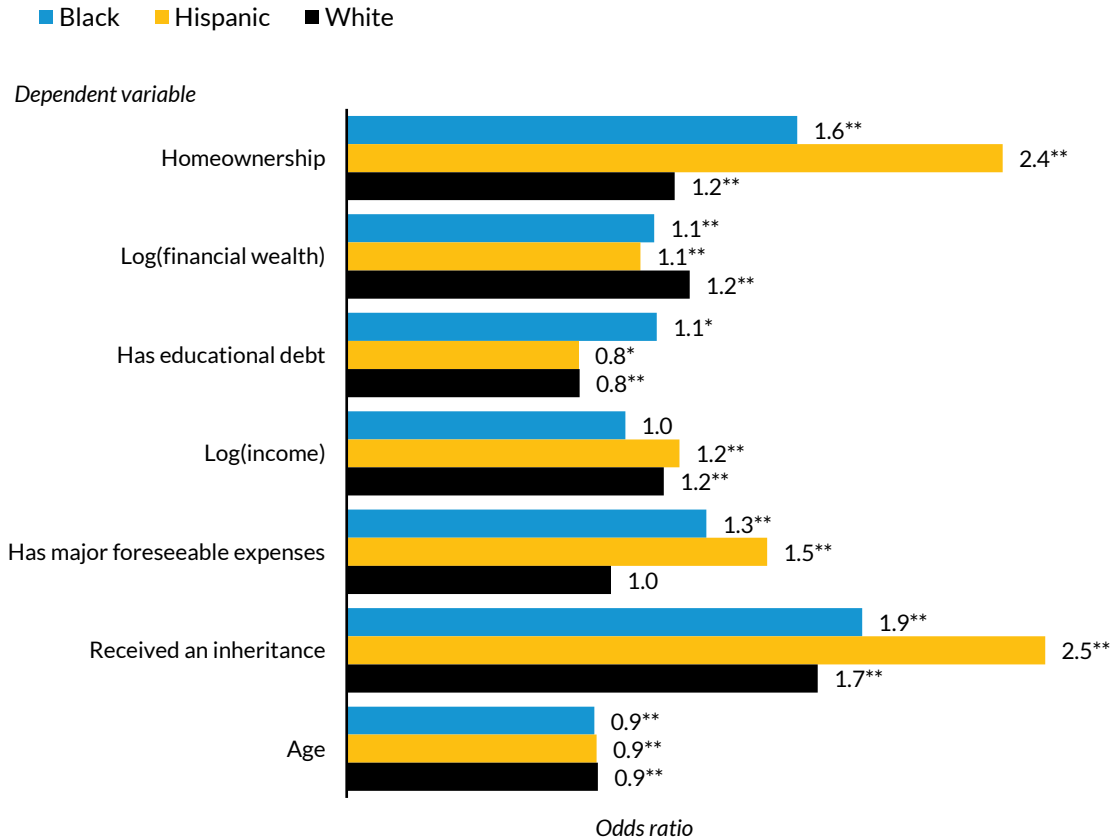
Homeownership has a stronger relationship to one's expectations of leaving an inheritance for Black and Hispanic households than for white households. Specifically, Black homeowners are 1.6 times more likely than Black renters to expect to leave an inheritance, and Hispanic homeowners are 2.4 times as likely as Hispanic renters, compared with white homeownership households being just 1.2 times as likely as white renting households (figure 3). This can be attributed to the fact that housing wealth makes up a greater share of total wealth for Black and Hispanic households than for white households, on average (table 1). In other words, homeownership has a greater relative impact on wealth for the typical household of color than for the typical white household. That said, this model does not control for home equity because the model includes all households, so we return to this theory in more detail later.

Other key variables have similar relationships with one's probability of expecting to leave an inheritance across race and ethnicity, with several notable exceptions (figure 4). Receipt of inheritance makes both Black and white households nearly twice as likely to expect to leave an inheritance. But it has a stronger relationship for Hispanic households' expectation to leave an inheritance, making them 2.5 times as likely as nonrecipients to expect to give an inheritance, even holding such factors as financial wealth and income constant. Additionally, a 1 percentage-point increase in financial wealth has a slightly greater impact on white households' likelihood to leave an inheritance compared with that increase for Black and Hispanic households. This could reflect the fact that financial wealth is a lesser share of total wealth for Black and Hispanic households than for white households, on average. The relationship between income and expectation to leave an inheritance is small across racial groups (and is not significant for Black households), illustrating key differences between income and wealth, which are often thought of in tandem (Skopek, Buchholz, and Blossfeld 2014).

FIGURE 4

Relationship between Homeownership and Giving Inheritance Model Output, by Race or Ethnicity

Odds ratios of coefficients of key variables of interest



URBAN INSTITUTE

Source: Urban Institute analysis of the 2013–22 Surveys of Consumer Finances.

Notes: We show results for key variables of interest, but our model included a full set of controls: the log of financial wealth, whether one has educational debt, the log of income, whether one has major foreseeable expenses, whether one has received an inheritance, age, age-squared, whether one has heirs, marital status, retirement status, and the survey year.

** $p < 0.01$; * $p < 0.05$.

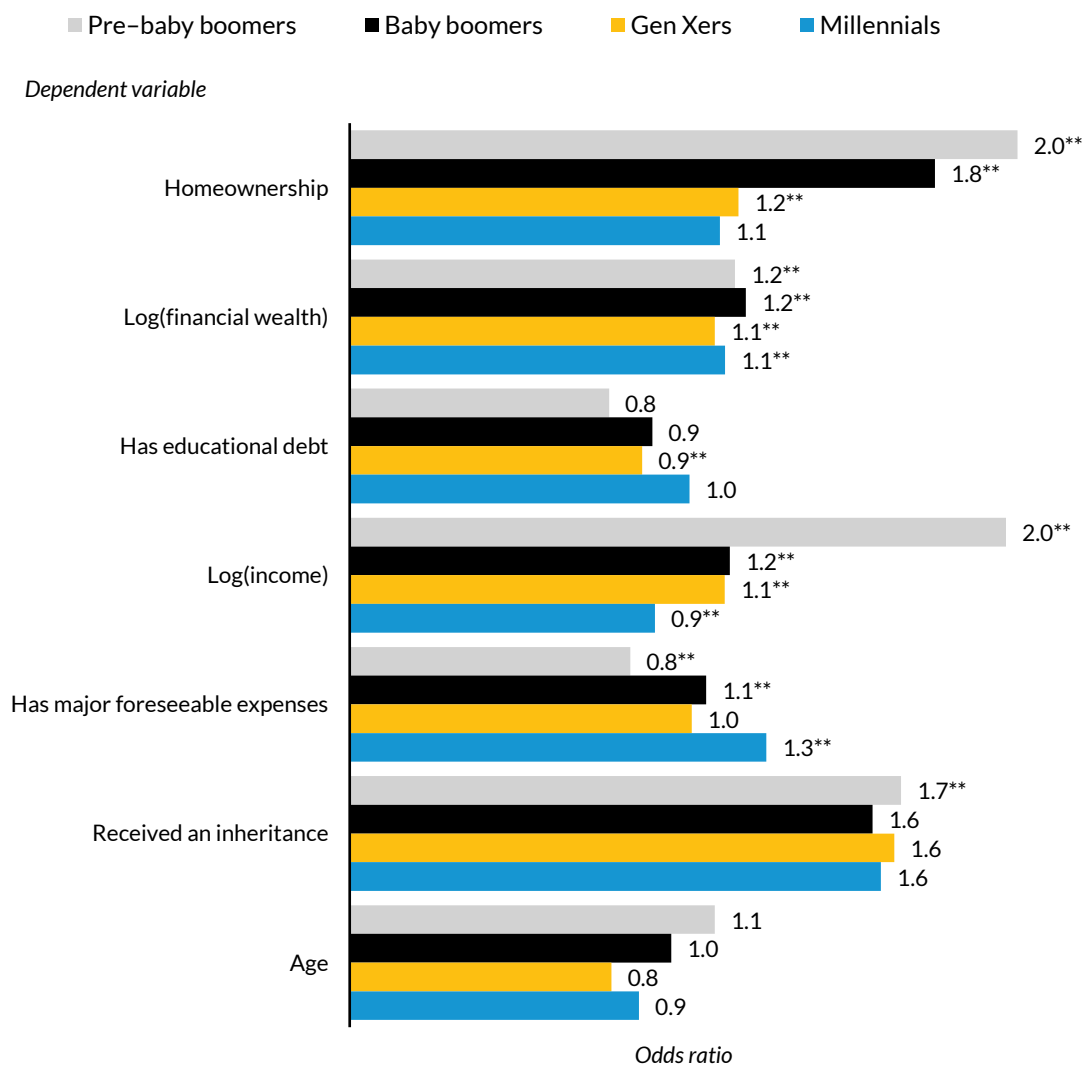
Homeownership has the strongest relationship with expectation to leave an inheritance for older homeowners (figure 5). Pre-boomer and boomer homeowners are about twice as likely as their renter counterparts to expect to leave an inheritance, while there are minimal differences across homeownership status for Gen X and millennial households. This may reflect that the latter households have built up less housing wealth because they have not been homeowners for as long, generally, but we return to home equity disparities in later results. For millennials, the relationship between homeownership and expectation to leave an inheritance is not statistically significant, likely in part because of low overall homeownership rates and young age. Nonetheless, for all groups other than

millennial households, the impact of homeownership on expectation to leave an inheritance is greater than that of financial wealth. Meanwhile, the relationship between receipt of inheritance and expectation is not significant for any households other than pre-baby boomers.

FIGURE 5

Relationship between Homeownership and Giving Inheritance Model Output, by Generation

Odds ratios of coefficients of key variables of interest



URBAN INSTITUTE

Source: Urban Institute analysis of the 2013–22 Surveys of Consumer Finances.

Notes: We show results for key variables of interest, but our model included a full set of controls: the log of financial wealth, whether one has educational debt, the log of income, whether one has major foreseeable expenses, whether one has received an inheritance, age, age-squared, whether one has heirs, marital status, retirement status, and the survey year.

** $p < 0.01$; * $p < 0.05$.

Relationship between Home Equity and a Homeowner's Expectation to Leave an Inheritance

We know that homeownership is not monolithic. Extensive work has found that homeowners of color, for example, benefit less from homeownership than white homeowners (Neal, Choi, and Walsh 2020). The age of homebuying matters for long-term wealth generation, too. People who buy their first home before age 35 have greater median housing wealth in their sixties than those who buy their first home in later years.¹⁹

To better understand why and how homeownership affects intergenerational wealth transfers, we turn to the **Relationship between Home Equity and Giving Inheritance Model**, which examines the relationship between amount of home equity and expectation of leaving an inheritance, among homeowners only. We excluded homeowners who were underwater (i.e., those who had negative home equity) so we could take the log of home equity. Underwater homeowners made up only 2 percent of our sample of homeowners.

We find that among homeowners, home equity matters. A 1 percentage-point increase in home equity, which could be a result of home price appreciation or a reduction in mortgage debt, increases one's odds of expecting to leave an inheritance by about 1.2 times (figure 5). Although home price appreciation varies across place and time, the average annual home price increase since 1991 has been 4.3 percent. This suggests that over the course of sustained homeownership, homeowners will become more and more likely to expect to leave an inheritance as their home value increases.²⁰ In other words, as homeowners amass more assets to leave to heirs, home price increases or paying off their mortgage make them more likely to expect to leave an inheritance. Relatively, home equity increases have a greater relationship to one's probability of expecting to leave an inheritance than increases in financial wealth or income. This output aligns with other work finding that net worth increases among homeowners in the past few decades have been driven by housing wealth and home price increases.²¹ Additionally, this suggests that stable housing costs and building housing wealth allow homeowners more opportunities to diversify their assets and build significant financial wealth (Rappaport 2010).

In this model, we also controlled for mortgage status, the ratio of home equity to net worth, and educational debt. We find that having a mortgage decreases one's odds of expecting to leave an inheritance (odds ratio of 0.8), but there is no significant relationship between expectation to leave an inheritance and the ratio of home equity to net worth. Homeowners with educational debt are slightly less likely (odds ratio of 0.9) to expect to leave an inheritance than those without. We also see that the coefficient on year has increased since 2013, with homeowners in 2022 being 1.3 times as likely as

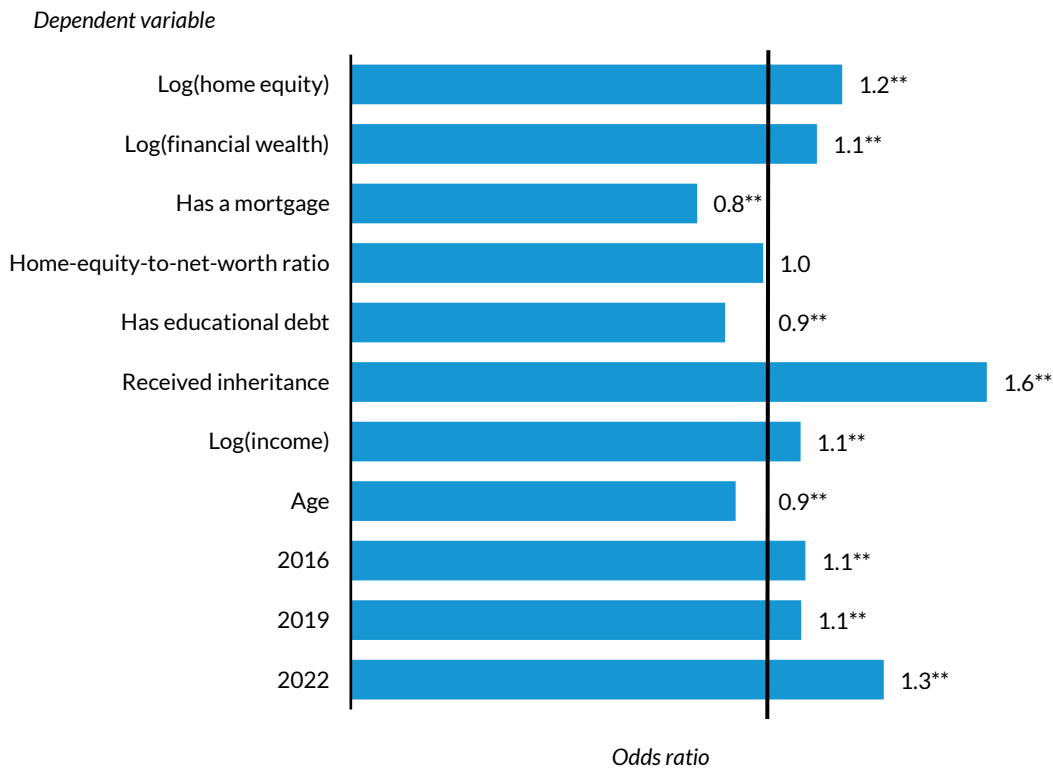
those in 2013 to expect to leave an inheritance, which may reflect how much homeowners have benefited from home price appreciation. If the first model told us that homeownership matters to one's expectations of leaving an inheritance, this model tells us that *sustained* homeownership, which allows one to build wealth, matters, too.

Notably, the strongest relationship in this model is between the receipt of inheritance and expectation to leave one. Homeowners who receive an inheritance are 1.6 times as likely to expect to leave an inheritance as homeowners who do not receive one. This is the case even when controlling for financial wealth and key types of debt, such as educational and mortgage debt, which indicates that having access to generational wealth may provide some security in future expectations of what one will realize and be able to leave behind.

FIGURE 6

**Relationship between Home Equity and Giving Inheritance Model Output, Overall
(Homeowners Only)**

Odds ratios of key variables of interest



URBAN INSTITUTE

Source: Urban Institute analysis of the 2013–22 Surveys of Consumer Finances.

Notes: We show results for key variables of interest, but our model included a full set of controls: the log of financial wealth, whether one has educational debt, the log of income, whether one has major foreseeable expenses, whether one has received an inheritance, age, age-squared, whether one has heirs, marital status, retirement status, and the survey year. The line indicates odds ratio = 1. Values to the right of that line indicate odds ratios that increase the likelihood of giving an inheritance, and values to the left indicate odds ratios that decrease the likelihood.

** $p < 0.01$; * $p < 0.05$.

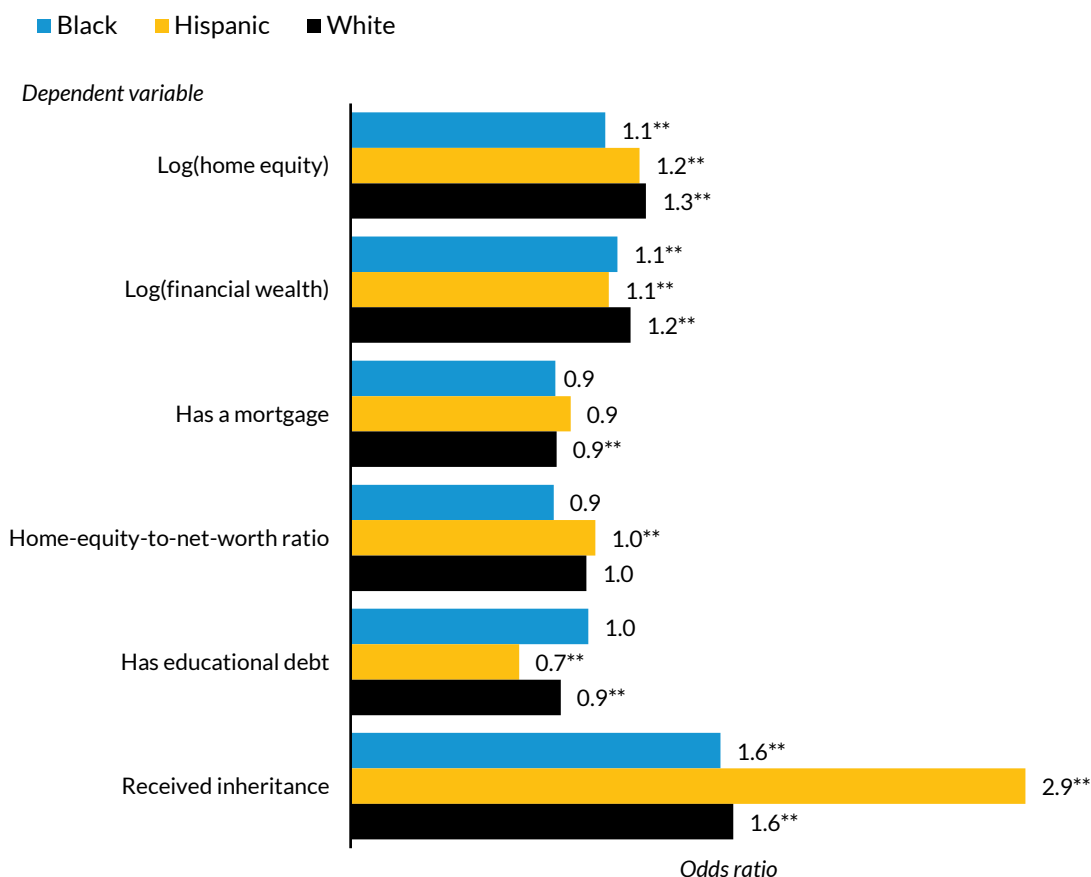
Home equity has a stronger relationship to white homeowners' inheritance expectations than it does for Black and Hispanic homeowners, which could reflect relative differences in home value versus debt by race and ethnicity (figure 7). Also notable, receiving an inheritance makes all households more likely to expect to leave an inheritance, but it has the biggest impact on Hispanic households, for whom receiving an inheritance increases the odds of expecting to leave one by nearly three times. This may reflect the fact that Hispanic households are likely to receive inheritances at younger ages, given that their age distribution is much lower than that of other racial and ethnic groups. From 2013 to 2022, the

median age of Hispanic households that had received an inheritance was 52 years old, compared with 61 for all households, 56 for Black households, and 62 for white households. This could also reflect cultural and values differences, though it is not possible for us to measure that in this report.

FIGURE 7

Relationship between Home Equity and Giving Inheritance Model Output, by Race or Ethnicity (Homeowners Only)

Odds ratios of key variables of interest



URBAN INSTITUTE

Source: Urban Institute analysis of the 2013–22 Surveys of Consumer Finances.

Notes: We show results for key variables of interest, but our model included a full set of controls: the log of financial wealth, whether one has educational debt, the log of income, whether one has major foreseeable expenses, whether one has received an inheritance, age, age-squared, whether one has heirs, marital status, retirement status, and the survey year.

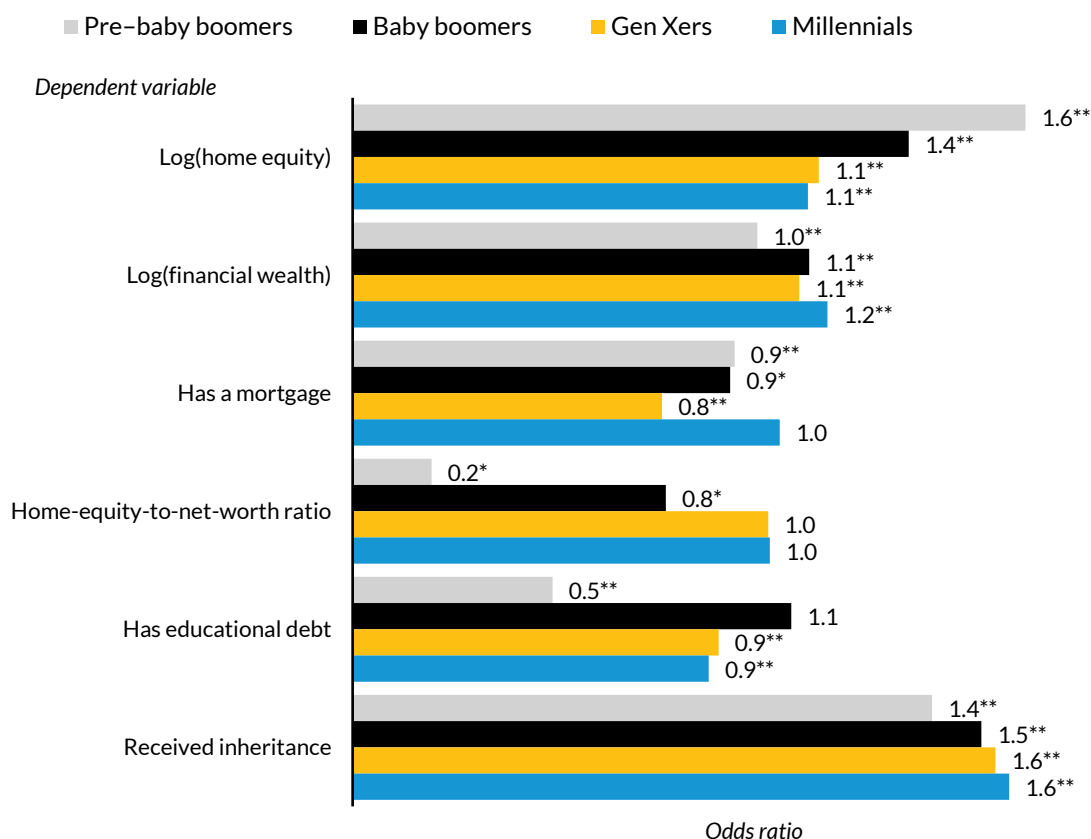
** $p < 0.01$; * $p < 0.05$.

Home equity has the strongest relationship to probability of expecting to leave an inheritance for pre-baby boomer homeowners, relative to other generations (figure 8). Meanwhile, receipt of inheritance increases Gen X homeowners' probability of expecting to leave an inheritance the most,

compared with other dependent variables. An increase in the ratio of home equity to net worth has the greatest negative impact on pre-boomers' propensity to expect to leave an inheritance.

Among pre-baby boomer homeowners, the ratio of home equity to net worth has a significant and negative relationship to expectation to leave an inheritance. Pre-boomers with more of their wealth tied up in housing are less likely to expect to leave an inheritance than more liquid homeowners in other generations. Similarly, educational debt has a stronger negative relationship to expectation to leave an inheritance for pre-boomers compared with younger generations.

FIGURE 8
Relationship between Home Equity and Giving Inheritance Model Output, by Generation
(Homeowners Only)
Odds ratios of key variables of interest



URBAN INSTITUTE

Source: Urban Institute analysis of the 2013–22 Surveys of Consumer Finances.

Notes: We show results for key variables of interest, but our model included a full set of controls: the log of financial wealth, whether one has educational debt, the log of income, whether one has major foreseeable expenses, whether one has received an inheritance, age, age-squared, whether one has heirs, marital status, retirement status, and the survey year.

** $p < 0.01$; * $p < 0.05$.

Relationship between Receipt of Inheritance and Homeownership Model

Given that homeowners are more likely than renters to expect to leave an inheritance, we wanted to better understand the relationship between receiving an inheritance and becoming a homeowner. That is, are inheritance and homeownership patterns likely combined to create greater wealth disparities across generations? The SCF is not a panel dataset, so we cannot look at whether renters who receive an inheritance become homeowners in the future, but we can look at the relationship between reporting having ever received an inheritance and reporting currently being a homeowner, which we believe to be a reasonable proxy. From 2013 to 2022, 37 percent of those who received an inheritance and owned a home bought the home they lived in at the time of the survey at least one year after having received their first inheritance, and 8 percent bought the home they lived in during the same year they received their first inheritance. But we cannot tell whether these are first-time homebuyers; they may have bought a home in a prior year (before or after receiving their inheritance) and then moved to a different home. In 2023, the average age of a first-time homebuyer was 35, but that average age has fluctuated slightly year to year.²² Looking only at respondents younger than 40 who have received an inheritance and own a home, 60 percent bought the home they lived at the time of the survey in the same year or after they received their first inheritance. This suggests that overall, the order that we suggest in our analysis is a reasonable one, especially for younger homeowners. More than 17 percent of those who reported receiving an inheritance and owning a home said the home they currently owned was itself a gift or an inheritance. The share is slightly greater for young homeowners (those younger than 40) who have received an inheritance, of which 22.5 percent say the house they live in was a gift or inheritance.

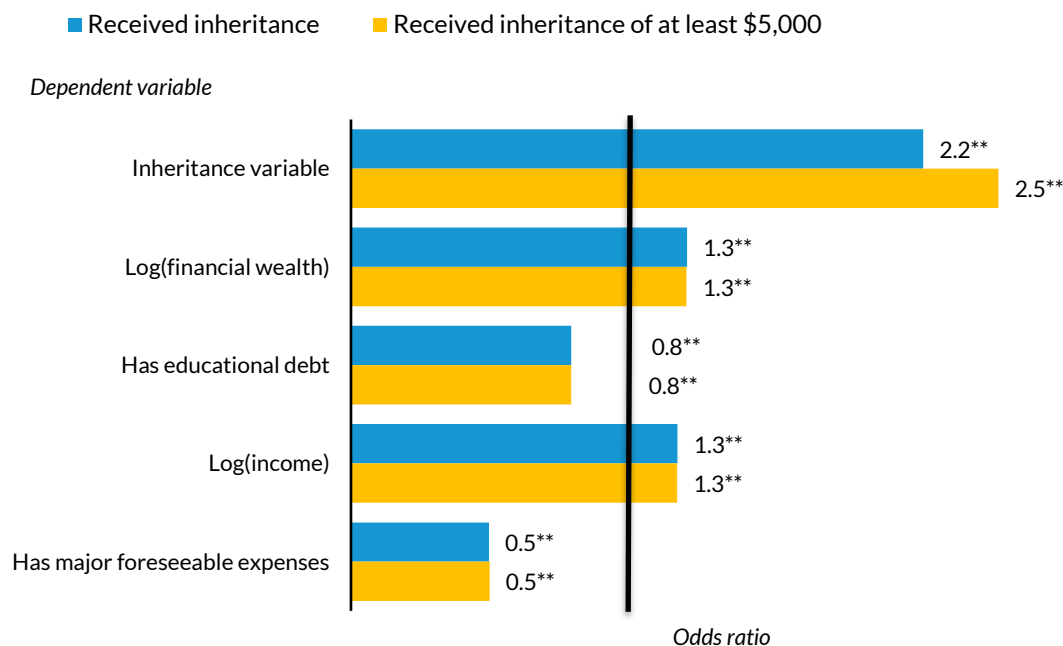
So far, the Relationship between Homeownership and Giving Inheritance Model and the Relationship between Home Equity and Giving Inheritance Model have helped us understand half of the inheritance and homeownership cycle, but the **Relationship between Receipt of Inheritance and Homeownership Model** is designed to help us understand another piece, furthering our understanding of the intergenerational nature of homeownership (figure 2). Overall, 22 percent of households reported receiving an inheritance from 2013 to 2022, but some received small inheritances. For example, the 5th percentile of amount received is about \$1,755, while the median amount received is \$40,634. In our initial model, we used an independent variable of receipt of inheritance, but as is detailed in figure 9, we ended up using an independent variable of receipt of inheritance of at least \$5,000,²³ which covers about 88 percent of our sample.

As expected, there is a strong and significant relationship between receipt of inheritance and homeownership, and the relationship is stronger for receiving an inheritance of at least \$5,000 (figure

9). Specifically, those who receive any inheritance are about 2.2 times as likely as those who do not to be homeowners, and those who receive an inheritance of at least \$5,000 are about 2.5 times as likely as others to be homeowners. This relationship is stronger than that between financial wealth and homeownership (odds ratio of 1.3), which indicates the relative importance of generational debt in achieving and sustaining homeownership. Having major foreseeable expenses has a negative and significant relationship with homeownership, with people who have such expenses being half as likely as those without to be homeowners.

Given that receipt of inheritance of at least \$5,000 has the bigger impact on homeownership overall and covers 88 percent of our sample, we ran only this model across racial and ethnic groups and generations.

FIGURE 9
Relationship between Receipt of Inheritance and Homeownership Model Output, Overall
Odds ratios of coefficients of key variables of interest



URBAN INSTITUTE

Source: Urban Institute analysis of the 2013–22 Surveys of Consumer Finances.

Notes: We show results for key variables of interest, but our model included a full set of controls: the log of financial wealth, whether one has educational debt, the log of income, whether one has major foreseeable expenses, whether one has received an inheritance, age, age-squared, whether one has heirs, marital status, retirement status, and the survey year. The line indicates odds ratio = 1. Values to the right of that line indicate odds ratios that increase the likelihood of being a homeowner, and values to the left indicate odds ratios that decrease the likelihood.

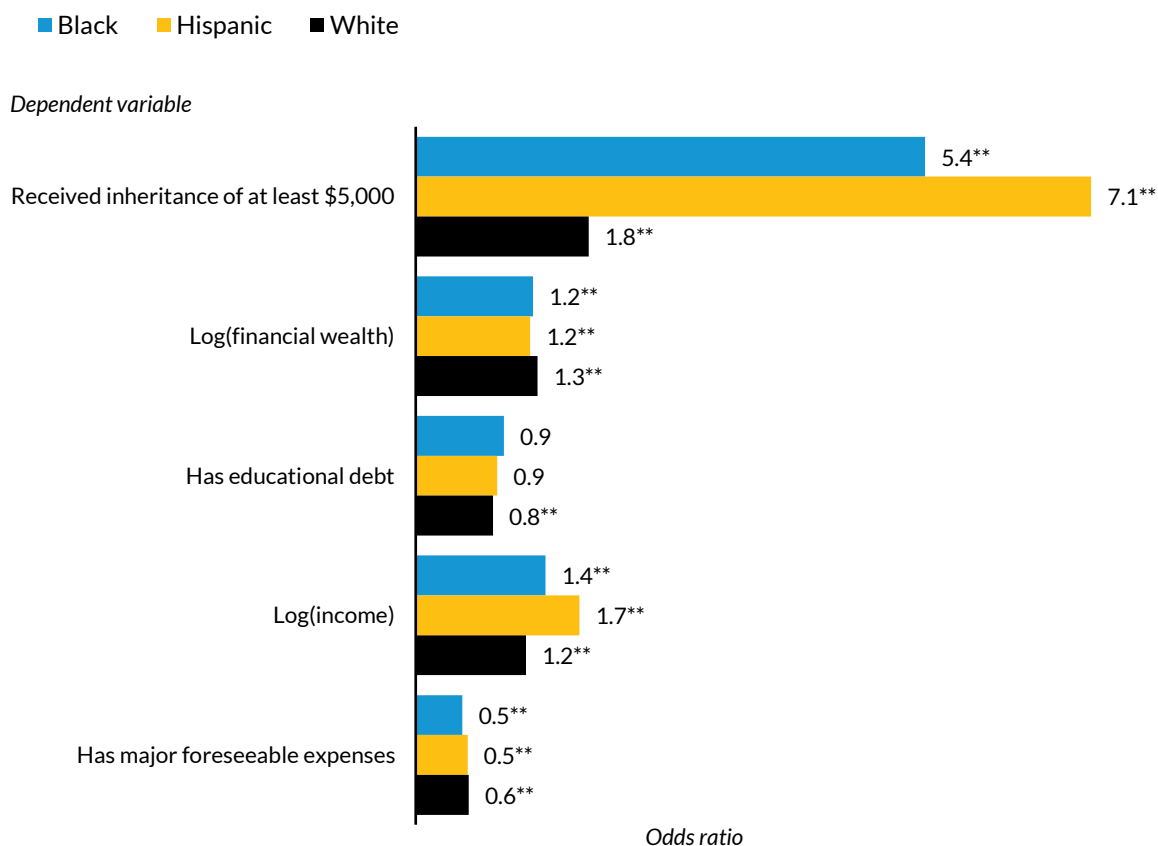
** $p < 0.01$; * $p < 0.05$.

Receipt of inheritance of at least \$5,000 has a greater impact on the odds of achieving homeownership for Black and Hispanic households than on white households (figure 10). Black households who receive inheritances of at least \$5,000 are more than 5 times as likely as those who do not to be homeowners, and Hispanic households who receive inheritances of at least \$5,000 are about 7.1 times as likely as those who receive no or lesser inheritances to be homeowners. White households who receive at least \$5,000 in inheritances are twice as likely as others to be homeowners. But white households are more likely than Black and Hispanic households to receive inheritances of at least \$5,000 and are more likely than Black and Hispanic households to be homeowners. These results likely reflect how much more difficult it is for households of color to become homeowners across wealth and incomes. In other words, it is more difficult for Black and Hispanic households to access credit and capital to achieve homeownership (Choi et al. 2024).²⁴ But this raises concerns about gaps within racial groups. If the Black and Hispanic households most likely to be homeowners are the same ones who receive an inheritance, what does that mean for the Black and Hispanic households who have not received and do not expect to receive an inheritance?

FIGURE 10

Relationship between Receipt of Inheritance and Homeownership Model Output, by Race or Ethnicity

Odds ratios of coefficients of key variables of interest



URBAN INSTITUTE

Source: Urban Institute analysis of the 2013–22 Surveys of Consumer Finances.

Notes: We show results for key variables of interest, but our model included a full set of controls: the log of financial wealth, whether one has educational debt, the log of income, whether one has major foreseeable expenses, whether one has received an inheritance, age, age-squared, whether one has heirs, marital status, retirement status, and the survey year.

** $p < 0.01$; * $p < 0.05$.

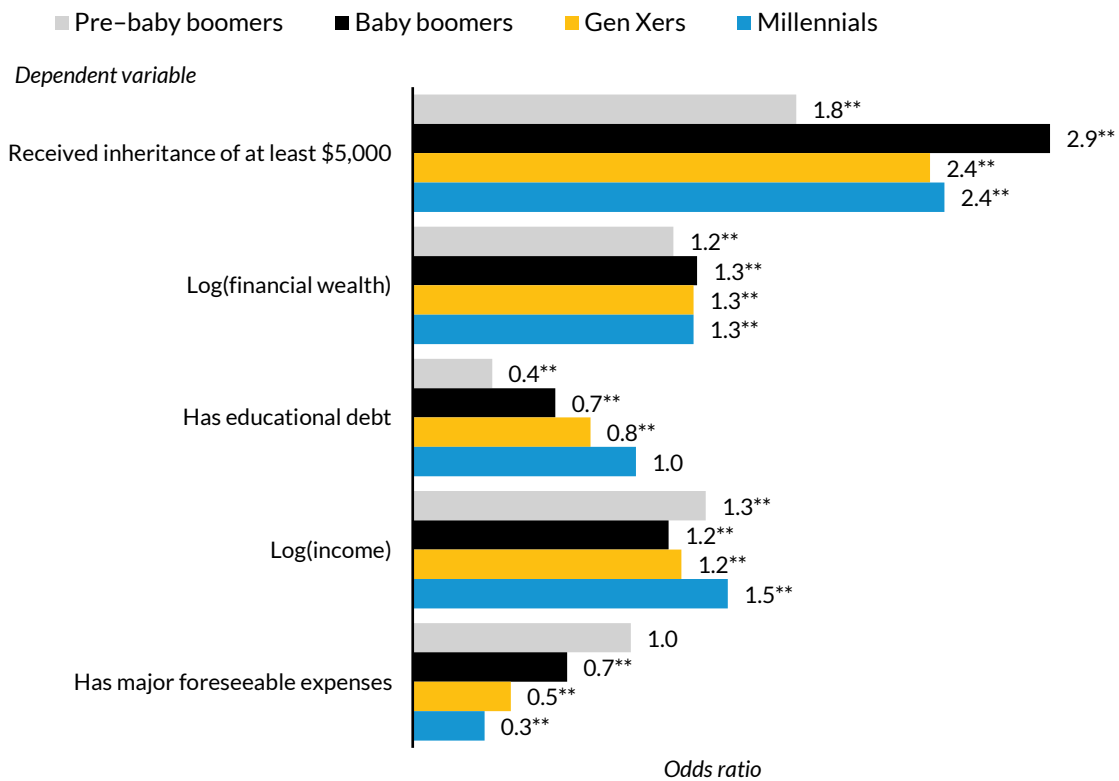
Across all generations, the relationship between receipt of inheritance and homeownership is greater than the relationship between financial wealth and homeownership (figure 11). Notably, the relationship is strongest for baby boomer households, among whom those who receive an inheritance are nearly three times as likely as those who do not to be homeowners, but this could reflect the fact that the baby boomers in the years we sampled are likely to have both reached their homebuying years and have reached the age where they are likely to have received an inheritance if they will.

Those with foreseeable major expenses have decreased odds of being homeowners. The effects of foreseeable major expenses on homeownership status are greatest for millennial households. Millennials with foreseeable major expenses have less than one-third the odds of being homeowners of millennials without those expenses, while there is no significant relationship between major foreseeable expenses and homeownership for pre-baby boomers. This may reflect differences in total wealth and financial security or differences in perceptions of available public benefits and retirement resources.²⁵ The inverse is true for educational debt. There is a significant negative relationship between educational debt and homeownership for pre-boomers but no significant relationship for millennials, who may still be in the early days of paying off their debts.

FIGURE 11

Relationship between Receipt of Inheritance and Homeownership Model Output, by Generation

Odds ratios of coefficients of key variables of interest



URBAN INSTITUTE

Source: Urban Institute analysis of the 2013–22 Surveys of Consumer Finances.

Notes: We show results for key variables of interest, but our model included a full set of controls: the log of financial wealth, whether one has educational debt, the log of income, whether one has major foreseeable expenses, whether one has received an inheritance, age, age-squared, whether one has heirs, marital status, retirement status, and the survey year.

** $p < 0.01$; * $p < 0.05$.

In the following sections, we discuss the meaning and implications of the results on the future of racial wealth and homeownership gaps, potential public policy solutions to the challenges these results pose to equity, and some key limitations.

Results and Implications

Our analyses reveal that homeownership is closely tied to expectations of leaving an inheritance, particularly for Black and Hispanic households. This relationship persists even when controlling for financial wealth, income, and other factors. But across generations, the strength of this relationship has weakened, indicating that the ability to pass on wealth through homeownership is becoming more challenging.

One key factor explaining this relationship is home equity. Home equity increases have a significant positive impact on one's likelihood of expecting to leave an inheritance. This effect is especially strong for white homeowners and for older generations, who tend to hold more home equity attributable to longer periods of homeownership and greater property value appreciation. But households of color—who typically acquire homes later in life and in areas with lower appreciation rates—do not experience this benefit to the same extent.

Crucially, having received an inheritance emerges as an even greater contributor to households' expectations of leaving wealth to the next generation. This pattern is more pronounced among households of color, suggesting that without the initial boost of generational wealth, it becomes increasingly difficult for these households to accumulate enough wealth to leave a meaningful inheritance. Black and Hispanic households, therefore, face more challenges building intergenerational wealth, reinforcing the existing racial wealth gap.

We also found that homeowners carrying mortgage debt and older homeowners with fewer liquid assets are less likely to expect to leave an inheritance compared with those who own their homes outright or have more financial liquidity. This finding underscores how debt burdens can constrain wealth-building potential, disproportionately affecting those already disadvantaged in the wealth cycle, particularly households of color.

Finally, our results show that receiving an inheritance—especially one valued at \$5,000 or more—has a significant and positive relationship with homeownership status, even after accounting for other factors, such as financial wealth and income. This relationship is particularly strong for Black and Hispanic households, suggesting that intergenerational transfers of even modest amounts of wealth

play a critical role in achieving homeownership for these groups. But because Black and Hispanic households are less likely to receive such inheritances, they face additional barriers to accessing homeownership and its associated wealth-building benefits.

The life cycle framework we discussed earlier is essential to understanding the cyclical nature of housing, wealth, and inheritance. Our findings suggest that this cycle perpetuates itself: households with access to wealth-building opportunities through homebuying continue to benefit, while those without those opportunities are left increasingly marginalized. This is particularly true for households of color, who have historically faced systemic barriers to accessing homeownership and accumulating wealth.

Moreover, Black and Hispanic households are more vulnerable to economic shocks as they progress through the life cycle. As these households age, they are more likely to encounter disruptions, such as health expenses and other financial hardships, that further erode their wealth and diminish their ability to leave an inheritance. These life cycle disruptions make it even harder for households of color to break free from the cycle of wealth disadvantage, perpetuating the disparities we see today.

Our results demonstrate that homeownership plays an outsized role in wealth transfer and highlight homeownership's limits in addressing racial inequities. Without interventions that address the broader systemic issues at play—including unequal access to housing, wealth, and financial security—this cycle will continue to reinforce and exacerbate existing wealth disparities.

Policy Recommendations: A Multipronged Policy Agenda

Our findings indicate that public policy has the power to either reduce or exacerbate existing wealth inequities, particularly those tied to homeownership. Each model provides insights into how policymakers can intervene to address these disparities.

Model 1. Homeownership and Future Expectations of Inheritance

Our results show a strong relationship between homeownership and one's future expectations to leave an inheritance, particularly for households of color. This reinforces the idea that increasing access to homeownership is critical for reducing wealth inequities.

POLICY RECOMMENDATIONS

- **First-generation down payment assistance programs** can also be pivotal in supporting households historically left out of the wealth-building cycle. According to the latest data from the National Survey of Mortgage Originations, about 34 percent of white first-time homebuyers used a gift or loan from family or friends to buy their home, compared with about 27 percent of Black first-time homebuyers and 19 percent of Hispanic first-time homebuyers. **This highlights the disparities in access to generational wealth, as Black and Hispanic households are less likely to receive financial support from family for down payments.** Meanwhile, around 9 percent of white first-time homebuyers used nonprofit or government assistance to purchase their property, compared with 28 percent of Black first-time homebuyers and 14 percent of Hispanic first-time homebuyers. Government and nonprofit assistance programs play a crucial role in helping these households access homeownership, which is key to reducing racial wealth and homeownership gaps. Offering tax-free savings accounts specifically for down payments or matching contributions could significantly enhance the purchasing power of these marginalized groups, reducing barriers to entry into the housing market.
- **Increase access to homeownership**, especially for marginalized households, by implementing policies that expand credit access through the incorporation of **alternative data**, such as rental and utility payment history in underwriting processes. These policies would particularly benefit Black and Hispanic households, who are often underrepresented in traditional credit models.
- **Expand the affordable housing supply**, especially multifamily housing, through zoning and land-use reforms. Single-family zoning has long restricted access to affordable homeownership for people of color, particularly in high-opportunity areas. Shifting toward inclusive zoning practices that encourage multifamily development can increase the availability of affordable housing, making homeownership more accessible.
- **Expand flexible underwriting criteria** to promote programs with more flexible debt-to-income ratio requirements or “residual income” models (which consider a borrower’s discretionary income after necessary expenses) could better accommodate households of color with low wealth but strong earning potential.

Model 2. Sustained Wealth Building through Homeownership

Although homeownership is important, our findings underscore that sustained, wealth-building homeownership is what truly contributes to intergenerational wealth transfers. This is particularly critical for Black and Hispanic homeowners, who often face challenges maintaining homeownership.

POLICY RECOMMENDATIONS

- **Create policies that ensure sustained homeownership** by addressing affordability and preventing foreclosure, especially for households with mortgage debt. This could include renovation financing programs and homeowner support services.
- **Combat racial bias in housing appraisals** and valuation practices to equalize the benefits of homeownership across racial groups.
- **Provide tax credits or subsidies** that reduce the financial burden of homeownership, particularly for low-wealth homeowners and homeowners of color, who are disproportionately affected by high property tax assessments and maintenance costs.

Model 3. Inheritance and Access to Homeownership

Our findings show a strong relationship between receiving an inheritance and homeownership, especially for historically disadvantaged households. This finding highlights the cumulative advantage of generational wealth and suggests that reparative measures are necessary to help households of color access homeownership and wealth-building tools.

POLICY RECOMMENDATIONS

- **Down payment assistance for households of color, even in modest amounts**, can launch a virtuous cycle of intergenerational homeownership and wealth building. Our model showed that Black and Hispanic households that receive at least \$5,000 in inheritance are five to seven times as likely as nonrecipient households to be homeowners, indicating that small amounts of down payment assistance, when targeted appropriately, could be powerful in increasing access to homeownership and the wealth-building benefits it offers.
- **Implement reparative actions** to address the lack of generational wealth in Black and Hispanic households. Although homeownership remains a crucial component of wealth building, our findings emphasize that homeownership alone is not enough to drive equity. Given the vast disparities in family wealth and historical exclusion from wealth-building opportunities,

policymakers must take bold steps beyond expanding access to housing. Reparations and wealth redistribution are necessary to close the racial wealth gap in a meaningful time frame. Universal programs such as baby bonds can help address wealth inequality, while progressive taxation of wealth and inheritances can be used to fund reparative initiatives.

- **Increase wealth-building pathways beyond homeownership**, such as retirement savings plans, matched savings accounts, and education subsidies, especially for those with low family wealth. These alternative pathways are critical for creating financial security for households unable to access the traditional homeownership route.
- **Inequity across the life cycle must be considered.** Black and Hispanic households are more vulnerable to disruptions such as health expenses and economic shocks as they age, further disadvantaging them along the wealth-building path. Policies that address these vulnerabilities, such as enhanced renter protections, eviction prevention programs, and expanded retirement savings plans, can mitigate some of the long-term disadvantages households of color face.
- **Use the tax system to increase equity, as opposed to perpetuating inequities.** According to recent work, less than 2 out of every 1,000 estates are subject to estate tax collection, because the exemption is higher than ever (Davis and Wiehe 2021). The federal estate tax is the only nationwide tax that aims to curb inherited wealth accumulation, but it has been weakened through tax cuts in recent decades, most recently through the 2017 Tax Cuts and Jobs Act (Phillips and Wamhoff 2018). Ensuring the estate tax is robust can help inequality and provide much-needed funding for our other equity-improving policy suggestions.

Limitations

Although we are confident in our results, there are several key limitations in this analysis that could affect the results and their implications.

First, one's expectations of leaving an inheritance do not necessarily correspond to one's actions at the end of life (Neal et al. 2023). Because the SCF is not a panel study, we cannot fully track the relationship between expecting to leave an inheritance and actually leaving one. But we believe that by controlling for one's assets and debts, we can disentangle the overly optimistic from the realistic.

That said, there are factors beyond financial capacity that contribute to one's ability to realize expectations of inheritance. One important issue is that many households do not have wills, which means their desires for how their assets should be distributed are not legally binding. Some of the estate

may have to be spent on the legal expenses required to go through probate, and significant assets, including housing, can be lost altogether without clear title and ownership.²⁶ Specifically, only one-third of people have a will, according to a nationally representative survey conducted by *Consumer Reports* in 2022.²⁷ And a lack of will making varies across race and ethnicity, with 77 percent of Black people and 82 percent of Hispanic people lacking wills, compared with 61 percent of white people. Disparities in will making could contribute to the difference between expectations of inheritance and incidences of receipt, but there is no SCF question on will making, so we cannot control for this factor.

We also make a key assumption for the Impact of Receiving Inheritance on Homeownership Model. We assume that a household has received an inheritance before buying their home. But in the SCF data, we cannot confirm this order of events. Although the SCF asks when inheritances were received (see appendix table A.1), it does not ask when respondents bought their first home, or whether respondents bought a home in the past year. Therefore, we cannot differentiate between households that became homeowners before receiving an inheritance versus after. Our work shows that those who are homeowners are more likely to have received an inheritance, but the order of events remains unclear. About 45 percent of homeowners who report receiving an inheritance bought the home they live in at the time of the survey in the same year or in a year following the receipt of their first inheritance. And among younger homeowners who have received inheritances, 60 percent received their inheritance before or in the same year as buying their home. But it is unclear whether access to homeownership is helped by receipt of inheritance or if homeowners simply come from wealthier families. Certainly, future work should consider using panel data, such as data from the Panel Study of Income Dynamics or the Health and Retirement Study, to investigate the sequencing of receiving an inheritance and becoming a homeowner, as well as the relationship between actual receipt of inheritance and current financial health.

Despite this limitation, we think our results highlight important links. Our results align with recent survey data that have found that an increasing share of homebuyers rely on down payment support from friends and family to access homeownership, indicating a relationship between intergenerational wealth transfers and access to homeownership, as well as validating our sequencing assumption.²⁸ Additionally, we found that receipt of inheritance's impact on homeownership has increased across generations and that its impact was greatest for millennials. This also aligns with survey data that find that the share of younger homebuyers receiving financial support for a down payment is increasing the most and that more than one-third of Gen Z and millennial prospective homebuyers expect to receive a cash gift from family to help fund their down payment.²⁹ Notably, however, the way the SCF question on

inheritances is phrased does not appear to include inter vivos cash transfers (appendix table A.1), which is an area needing further research.

In this report, we also do not control for factors—such as medical debt—that have affected credit scores in the past, instead opting to control for financial wealth, which includes debt. Future work, especially from health experts, could investigate the relationship between previous and current health status and expectations of inheritance. Relatedly, although we examine home equity, which includes mortgage debt, we do not explicitly control for home equity extraction or type of extraction, because of data limitations. Nonetheless, future research should consider how a cash-out refinance, home equity conversion mortgage, or other form of liquidation relates to one’s expectation to leave an inheritance. The SCF question on expectations of inheritance also does not qualify that the inheritance go to, or go only to, children or direct heirs. Households could also be planning to give to philanthropic entities or other sources. Tracking where the Great Wealth Transfer actually ends up will be an important area for future scholarship. Additionally, this work focuses most specifically on inheritances, but there are other types of intergenerational wealth transfers—including down payment assistance, assistance with tuition for higher education, and remittances to family living abroad—that merit future investigation and analysis.

Finally, our analyses are limited to Black, Hispanic, and white households. Until 2022, this was the most disaggregated racial analysis we could do. The 2022 SCF data disaggregate Asian households from “other” households, but because our analysis is longitudinal to increase sample size, we could not include Asian households in our analyses. Future work should take advantage of the improved racial disaggregation in the SCF. Notably, the SCF defines race by the respondent’s (head of household’s) race only. For this reason, we cannot fully understand distinct impacts for multiracial households, a growing share of the housing market.³⁰ We also cannot fully capture multiracial individuals or heirs with certainty. Similarly, the share of Gen Z households in the SCF was too small for analysis, especially since 2013, and most of those households have not yet reached their peak homebuying years or sustained homeownership long enough to build wealth. Nonetheless, future work should continue to evaluate their inclusion as Gen Z households age and start to receive inheritances and wealth transfers.

Conclusion

Rules of inheritance and succession are, in a way, the genetic code of society. They guarantee that the next generation will, more or less, have the same structure as the one that preceded it.

—Lawrence M. Friedman

Yesterday's segregation is today's wealth gap. We like to pretend that we live in a race-neutral, merit-based society now, that this is all in the past, but you can't erase history. It shows up in our wealth. For many, it shows up in the lack of wealth.

—Jonathan Welburn

This report is an important contribution to the study of the racial and overall wealth gaps, disparities in intergenerational wealth transfers, the role of homeownership in wealth transfers, and the limits of our current policy toolbox. The main takeaway from this work should be that homeownership is an important wealth-building mechanism, but because it has also been an important contributor to the racial wealth gap, homeownership alone cannot be the only solution we have if we truly wish to increase equity and, in turn, economic growth and efficiency.

The next part of this work is to simulate the impending wealth transfer itself—as opposed to expectations—and its impact on racial and overall wealth gaps in the future. This will require using panel datasets to understand how transfers have materialized under different conditions in the past and to further uncover the variances in relationships between expectations and outcomes across different households. Additional work should continue to study potential policies and programs to reduce wealth gaps and should consider the role of inter vivos transfers in homeownership and future intergenerational transfers. But it would be a mistake to wait for more research to act.

For generations, the same people have been profited off, extracted from, and limited in growth and opportunity. Today's policymakers may not have created the circumstances that have made upward mobility nearly impossible for a significant portion of Americans, but they will be tasked with addressing

them. The tools are laid out. The levers are oiled up and ready to be pulled. It is long past due for policymakers to take a real stab at curbing inequality, but progress is possible.

Appendix

TABLE A.1

SCF Variables on Inheritance and How We Used Them

SCF question	Variable name (per SCF codebook for full dataset)	How we use the variable
Including any gifts or inheritances you may have already told me about, have you (or your {husband/wife/partner/spouse}) ever received an inheritance, or been given substantial assets in a trust or in some other form? Please do not include inheritances from a deceased spouse.	x5801	Receipt of inheritance (yes or no)
In what year was it [inheritance or substantial assets in a trust/other form] received?	x5801, x5810, x5815	To adjust inheritance amounts by inflation
Do you (and your {husband/wife/partner/spouse}) expect to leave a sizable estate to others?	x5825	Expect to leave an inheritance (we categorize to yes and no—“possibly” is included with no)
Altogether, including children from previous marriages and adopted children, how many sons and daughters do you (or your {husband/wife/partner/spouse}) have who do not live with you?	x6910	Heirs (yes or no)
In the next five to ten years, are there any foreseeable major expenses that you (and your family) expect to have to pay for (yourself/yourselves), such as educational expenses, purchase of a new home, health care costs, support for other family members, or anything else?	x3010	Foreseeable major expenses (yes or no)
What was its [inheritance, trust, or something else] approximate value at the time it was received?	x5804, x5809, x5814	Inheritances—we adjust them according to year received to 2022 dollars using the CPI
How much altogether were any others [inheritances, trusts, something else] you have received?	x5818	Distinct inheritances beyond the first three—there is no year associated, so we do not adjust using CPI, but we add to the above total for total inheritance amount

Notes: CPI = Consumer Price Index; SCF = Survey of Consumer Finances. The SCF Codebook for the full data can be found at “Codebook for the 2022 Survey of Consumer Finances,” Federal Reserve, accessed September 16, 2024, <https://www.federalreserve.gov/econres/files/codebk2022.txt>.

TABLE A.2

OLS versus Logistic Model Results

Variables	(1)	(2)
	OLS	Logit
Homeowner	1.047*** (0.005)	1.262*** (0.028)
Log(financial wealth)	1.029*** (0.001)	1.169*** (0.006)
Has educational debt	0.980*** (0.005)	0.924*** (0.021)
Log(income)	1.026*** (0.002)	1.116*** (0.014)
Has major foreseeable expenses	1.012*** (0.004)	1.065*** (0.019)
Received inheritance	1.122*** (0.005)	1.665*** (0.034)
Age	0.984*** (0.001)	0.920*** (0.003)
Age-squared	1.000*** (0.000)	1.001*** (0.000)
Has heirs	1.066*** (0.004)	1.367*** (0.026)
Married	0.951*** (0.004)	0.777*** (0.016)
Retired	1.004 (0.005)	1.002 (0.024)
Year(2016)	1.017*** (0.004)	1.087*** (0.023)
Year(2019)	1.022*** (0.005)	1.117*** (0.025)
Year(2022)	1.064*** (0.006)	1.338*** (0.034)
Constant	1.215*** (0.032)	0.256*** (0.034)
Observations	102,246	102,246
R-squared	0.084	

Notes: OLS = ordinary least squares. Robust seeform in parentheses.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

TABLE A.3

Relationship between Homeownership and Giving Inheritance Model

By race or ethnicity

Variables	(1) All	(2) Black	(3) Hispanic	(4) White
Homeowner	1.262*** (0.028)	1.637*** (0.088)	2.382*** (0.159)	1.191*** (0.036)
Log(financial wealth)	1.169*** (0.006)	1.117*** (0.011)	1.067*** (0.014)	1.246*** (0.009)
Has educational debt	0.924*** (0.021)	1.126** (0.057)	0.844** (0.066)	0.846*** (0.026)
Log(income)	1.116*** (0.014)	1.012 (0.028)	1.208*** (0.078)	1.152*** (0.020)
Has major foreseeable expenses	1.065*** (0.019)	1.306*** (0.063)	1.527*** (0.089)	0.960* (0.021)
Received inheritance	1.665*** (0.034)	1.872*** (0.143)	2.536*** (0.283)	1.711*** (0.040)
Age	0.920*** (0.003)	0.899*** (0.008)	0.908*** (0.010)	0.913*** (0.004)
Age-squared	1.001*** (0.000)	1.001*** (0.000)	1.001*** (0.000)	1.001*** (0.000)
Has heirs	1.367*** (0.026)	1.386*** (0.068)	1.090 (0.068)	1.308*** (0.033)
Married	0.777*** (0.016)	0.937 (0.047)	0.847** (0.055)	0.782*** (0.020)
Retired	1.002 (0.024)	0.708*** (0.043)	1.185* (0.104)	1.029 (0.031)
Year(2016)	1.087*** (0.023)	1.265*** (0.076)	0.867* (0.064)	1.079*** (0.028)
Year(2019)	1.117*** (0.025)	1.150** (0.073)	1.055 (0.082)	1.151*** (0.032)
Year(2022)	1.338*** (0.034)	1.686*** (0.119)	1.312*** (0.104)	1.348*** (0.043)
Constant	0.256*** (0.034)	2.392*** (0.754)	0.288** (0.181)	0.099*** (0.018)
Observations	102,246	11,737	8,411	70,758

Note: Robust seeform in parentheses.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

TABLE A.4

Relationship between Homeownership and Giving Inheritance Model

By generation

Variables	(1) Pre-boomers	(2) Boomers	(3) Gen Xers	(4) Millennials
Homeowner	2.022*** (0.173)	1.772*** (0.078)	1.178*** (0.044)	1.120*** (0.049)
Log(financial wealth)	1.166*** (0.020)	1.200*** (0.010)	1.106*** (0.009)	1.136*** (0.010)
Has educational debt	0.785 (0.156)	0.916* (0.045)	0.885*** (0.031)	1.028 (0.037)
Log(income)	1.986*** (0.093)	1.150*** (0.022)	1.135*** (0.025)	0.924*** (0.018)
Has major foreseeable expenses	0.849*** (0.044)	1.080*** (0.032)	1.036 (0.034)	1.261*** (0.051)
Received inheritance	1.670*** (0.090)	1.583*** (0.048)	1.649*** (0.067)	1.608*** (0.093)
Age	1.105 (0.092)	0.973 (0.040)	0.792*** (0.028)	0.876*** (0.033)
Age-squared	0.999 (0.001)	1.000 (0.000)	1.003*** (0.000)	1.001** (0.001)
Has heirs	1.286*** (0.114)	1.372*** (0.047)	1.485*** (0.053)	1.580*** (0.065)
Married	0.515*** (0.030)	0.809*** (0.027)	0.730*** (0.028)	0.850*** (0.036)
Retired	1.224*** (0.085)	0.981 (0.033)	0.944 (0.052)	0.950 (0.058)
Year(2016)	1.040 (0.064)	1.106*** (0.041)	1.150*** (0.046)	0.936 (0.046)
Year(2019)	0.927 (0.065)	1.169*** (0.048)	1.207*** (0.054)	1.029 (0.054)
Year(2022)	1.282*** (0.114)	1.689*** (0.081)	1.109* (0.060)	1.190*** (0.076)
Constant	0.000*** (0.000)	0.018*** (0.023)	5.979** (4.656)	5.098*** (2.861)
Observations	14,064	41,666	29,118	17,398

Note: Robust seeform in parentheses.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

TABLE A.5

Relationship between Home Equity and Giving Inheritance Model (Homeowners Only)

By race or ethnicity

Variables	(1)	(2)	(3)
	Black	Hispanic	White
Log(home equity)	1.083*** (0.027)	1.229*** (0.039)	1.257*** (0.021)
Log(financial wealth)	1.135*** (0.020)	1.098*** (0.020)	1.190*** (0.011)
Homeowner has a mortgage	0.871* (0.070)	0.936 (0.088)	0.876*** (0.026)
Ratio of home equity to net worth	0.863* (0.076)	1.041*** (0.013)	1.003 (0.008)
Has educational debt	1.012 (0.087)	0.717*** (0.082)	0.894*** (0.035)
Received inheritance	1.573*** (0.148)	2.862*** (0.380)	1.628*** (0.043)
Log(income)	1.087** (0.040)	0.995 (0.062)	1.115*** (0.019)
Age	0.934*** (0.015)	0.902*** (0.016)	0.925*** (0.005)
Age-squared	1.000*** (0.000)	1.001*** (0.000)	1.001*** (0.000)
Has major foreseeable expenses	1.327*** (0.095)	1.485*** (0.122)	0.944** (0.023)
Constant	0.351* (0.207)	0.624 (0.432)	0.016*** (0.004)
Observations	4,793	3,902	54,924

Note: Robust seeform in parentheses.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

TABLE A.6

Relationship between Home Equity and Giving Inheritance Model (Homeowners Only)

By generation

Variables	(1) Pre-boomers	(2) Boomers	(3) Gen Xers	(4) Millennials
Log(home equity)	1.636*** (0.077)	1.352*** (0.041)	1.133*** (0.021)	1.107*** (0.027)
Log(financial wealth)	0.983 (0.022)	1.110*** (0.021)	1.086*** (0.012)	1.155*** (0.023)
Homeowner has a mortgage	0.929 (0.060)	0.917*** (0.031)	0.753*** (0.039)	1.028 (0.100)
Ratio of home equity to net worth	0.192*** (0.036)	0.761* (0.124)	1.020 (0.012)	1.015 (0.012)
Has educational debt	0.486*** (0.103)	1.066 (0.062)	0.889*** (0.040)	0.866** (0.055)
Received inheritance	1.409*** (0.081)	1.528*** (0.051)	1.562*** (0.074)	1.596*** (0.131)
Log(income)	1.328*** (0.060)	1.078*** (0.019)	1.111*** (0.026)	0.869*** (0.027)
Age	0.980 (0.089)	0.947 (0.043)	0.877*** (0.036)	0.762*** (0.060)
Age-squared	1.000 (0.001)	1.000 (0.000)	1.001*** (0.000)	1.004*** (0.001)
Has major foreseeable expenses	0.782*** (0.043)	1.138*** (0.036)	0.950 (0.038)	1.131** (0.071)
Constant	0.000** (0.001)	0.016*** (0.022)	0.464 (0.431)	24.614** (30.734)
Observations	12,057	33,543	18,778	5,921

Note: Robust seeform in parentheses.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

TABLE A.7

Relationship between Receipt of Inheritance and Homeownership Model*Receipt of inheritance versus receipt of inheritance $\geq$ \$5,000*

Variables	(1)	(2)
	Receipt of inheritance	Receipt of inheritance $\geq$ \$5,000
Inheritance variable	2.194*** (0.064)	2.482*** (0.082)
Log(financial wealth)	1.288*** (0.006)	1.286*** (0.006)
Has educational debt	0.845*** (0.022)	0.845*** (0.022)
Log(income)	1.252*** (0.022)	1.251*** (0.021)
Has foreseeable major expenses	0.530*** (0.011)	0.532*** (0.011)
Retired	0.865*** (0.025)	0.858*** (0.025)
Married	2.354*** (0.053)	2.346*** (0.053)
Has heirs	1.666*** (0.037)	1.665*** (0.037)
Age	1.093*** (0.004)	1.092*** (0.004)
Age-squared	1.000*** (0.000)	1.000*** (0.000)
Year(2016)	0.806*** (0.021)	0.806*** (0.021)
Year(2019)	0.810*** (0.022)	0.804*** (0.022)
Year(2022)	0.819*** (0.025)	0.814*** (0.025)
Constant	0.000*** (0.000)	0.001*** (0.000)
Observations	102,246	102,246

Note: Robust seeform in parentheses.*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

TABLE A.8

Relationship between Receipt of Inheritance and Homeownership Model

By race or ethnicity

Variables	(1) All	(2) Black	(3) Hispanic	(4) White
Received inheritance ≥ \$5,000	2.482*** (0.082)	5.362*** (0.642)	7.112*** (1.275)	1.820*** (0.067)
Log(financial wealth)	1.286*** (0.006)	1.235*** (0.023)	1.203*** (0.019)	1.281*** (0.008)
Has educational debt	0.845*** (0.022)	0.929 (0.055)	0.859* (0.077)	0.812*** (0.029)
Log(income)	1.251*** (0.021)	1.366*** (0.138)	1.723*** (0.149)	1.161*** (0.020)
Has foreseeable major expenses	0.532*** (0.011)	0.491*** (0.026)	0.546*** (0.034)	0.559*** (0.016)
Retired	0.858*** (0.025)	0.667*** (0.055)	0.802** (0.080)	0.930* (0.035)
Married	2.346*** (0.053)	1.568*** (0.106)	1.797*** (0.122)	2.730*** (0.081)
Has heirs	1.665*** (0.037)	1.402*** (0.077)	1.866*** (0.126)	1.866*** (0.057)
Age	1.092*** (0.004)	1.060*** (0.011)	1.060*** (0.013)	1.107*** (0.005)
Age-squared	1.000*** (0.000)	1.000 (0.000)	1.000 (0.000)	0.999*** (0.000)
Year(2016)	0.806*** (0.021)	0.731*** (0.046)	0.843** (0.066)	0.822*** (0.027)
Year(2019)	0.804*** (0.022)	0.695*** (0.047)	0.792*** (0.065)	0.867*** (0.030)
Year(2022)	0.814*** (0.025)	0.752*** (0.059)	0.942 (0.083)	0.805*** (0.033)
Constant	0.001*** (0.000)	0.000*** (0.000)	0.000*** (0.000)	0.001*** (0.000)
Observations	102,246	11,737	8,411	70,758

Note: Robust seeform in parentheses.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

TABLE A.9

Relationship between Receipt of Inheritance and Homeownership Model

By generation

Variables	(1) Pre-boomers	(2) Boomers	(3) Gen Xers	(4) Millennials
Received inheritance $\geq$ \$5,000	1.767*** (0.147)	2.936*** (0.163)	2.382*** (0.152)	2.449*** (0.187)
Log(financial wealth)	1.202*** (0.014)	1.309*** (0.009)	1.293*** (0.011)	1.293*** (0.028)
Has educational debt	0.366*** (0.098)	0.647*** (0.036)	0.819*** (0.031)	1.028 (0.045)
Log(income)	1.349*** (0.061)	1.180*** (0.019)	1.238*** (0.037)	1.451*** (0.144)
Has foreseeable major expenses	1.004 (0.065)	0.711*** (0.026)	0.452*** (0.017)	0.331*** (0.015)
Retired	0.827* (0.083)	0.873*** (0.035)	0.840*** (0.050)	0.773*** (0.072)
Married	2.219*** (0.159)	2.525*** (0.093)	2.088*** (0.082)	2.304*** (0.151)
Has heirs	2.610*** (0.282)	1.247*** (0.052)	1.796*** (0.069)	1.908*** (0.096)
Age	1.181 (0.123)	1.023 (0.051)	0.987 (0.043)	1.480*** (0.084)
Age-squared	0.999 (0.001)	1.000 (0.000)	1.001 (0.000)	0.995*** (0.001)
Year(2016)	0.780*** (0.059)	0.820*** (0.037)	0.870*** (0.039)	0.747*** (0.047)
Year(2019)	0.717*** (0.062)	0.823*** (0.041)	0.833*** (0.042)	0.782*** (0.051)
Year(2022)	0.668*** (0.072)	0.890* (0.054)	0.787*** (0.047)	0.819*** (0.063)
Constant	0.000** (0.000)	0.006*** (0.010)	0.006*** (0.006)	0.000*** (0.000)
Observations	14,064	41,666	29,118	17,398

Note: Robust seeform in parentheses.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Notes

- ¹ “Defining Our Six Generations,” Pew Charitable Trusts, February 8, 2019, <https://pew.org/3IP4ItN>.
- ² See also Emily Moss, Kriston McIntosh, Wendy Edelberg, and Kristen Broady, “The Black-White Wealth Gap Left Black Households More Vulnerable,” *Up Front* (blog), Brookings Institution, December 8, 2020, <https://www.brookings.edu/blog/up-front/2020/12/08/the-black-white-wealth-gap-left-black-households-more-vulnerable/>.
- ³ Jon Huntley and Victoria Osorio, “Inheritances by Race,” *Penn Wharton Budget Model* (blog), Wharton School of the University of Pennsylvania, December 17, 2021, <https://budgetmodel.wharton.upenn.edu/issues/2021/12/17/inheritances-by-race>.
- ⁴ Jung Hyun Choi and Amalie Zinn, “The Wealth Gap between Homeowners and Renters Has Reached a Historic High,” *Urban Wire* (blog), Urban Institute, April 19, 2024, <https://www.urban.org/urban-wire/wealth-gap-between-homeowners-and-renters-has-reached-historic-high>.
- ⁵ The Great Wealth Transfer is the name for the transfer of \$84 trillion in wealth from baby boomers to Gen Xers and millennials that is poised to occur over the next few decades. See James Royal, “The Great Wealth Transfer: What It Means for Your Money,” Bankrate, May 16, 2024, <https://www.bankrate.com/investing/the-great-wealth-transfer/>.
- ⁶ See also Madeline Brown, Signe-Mary McKernan, Thea Garon, Oriya Cohen, Catherine Harvey, C. Eugene Steuerle, and Ofronama Biu, “Nine Charts about Wealth Inequality in America,” Urban Institute, last updated April 25, 2024, <https://apps.urban.org/features/wealth-inequality-charts/>.
- ⁷ See also Kimberly Blanton, “Subprime Crisis Lingers for Minorities,” Center for Retirement Research at Boston College blog, October 2, 2018, <https://crr.bc.edu/subprime-crisis-lingers-for-minorities/>.
- ⁸ Brown et al., “Nine Charts about Wealth Inequality.”
- ⁹ See also Lisa Camner McKay, “How the Racial Wealth Gap Has Evolved—and Why It Persists,” Federal Reserve Bank of Minneapolis, October 3, 2022, <https://www.minneapolisfed.org/article/2022/how-the-racial-wealth-gap-has-evolved-and-why-it-persists>.
- ¹⁰ Amalie Zinn, Michael Neal, and Vanessa G. Perry, “Building Trust in the Financial System Is Key to Closing the Racial Wealth Gap,” *Urban Wire* (blog), Urban Institute, June 15, 2023, <https://www.urban.org/urban-wire/building-trust-financial-system-key-closing-racial-wealth-gap>.
- ¹¹ A weighting scheme is provided with the SCF that is applied to make the raw samples representative of the entire US population.
- ¹² Ana Hernández Kent and Lowell R. Ricketts, “U.S. Wealth Inequality: Gaps Remain Despite Widespread Wealth Gains,” *Open Vault* (blog), Federal Reserve Bank of St. Louis, February 7, 2024, <https://www.stlouisfed.org/open-vault/2024/feb/us-wealth-inequality-widespread-gains-gaps-remain>.
- ¹³ See also Brown et al., “Nine Charts about Wealth Inequality.”
- ¹⁴ Kevin B. Moore and Karen M. Pence, “Improving the Measurement of Racial and Ethnic Disparities in the Survey of Consumer Finances,” *FEDS Notes* (blog), Board of Governors of the Federal Reserve System, June 21, 2021, <https://www.federalreserve.gov/econres/notes/feds-notes/improving-the-measurement-of-racial-and-ethnic-disparities-in-the-survey-of-consumer-finances-20210621.html>.
- ¹⁵ Appendix table A.1 contains details on these questions and variable names in the SCF.
- ¹⁶ Huntley and Osorio, “Inheritances by Race.”

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